

CHINA MOBILITY TECH

Revisiting cyclical framework: industry consolidation unlikely in near term, momentum of earnings cuts accelerating

We revisit our cyclical framework for the China OEM space amid a sharply declining domestic market (volumes -19% YTD), partially offset by a strong acceleration in exports (+70% YTD). Our framework requires three parameters to be hit for industry consolidation to happen: **(1) OEMs at cash cost level; (2) management capitulating on profitability & expansion; (3) OEMs' balance sheets turning to net debt.**

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Our assessment shows:

- **Industry consolidation unlikely in the near term.** As shown in Exhibit 1, as of 1Q26: (1) The majority (10 out of 14) of OEMs are above cash cost level; (2) Management outlooks are mixed on volume/margin/capacity; (3) Only 1 out of 14 OEMs are in a net debt position. Looking ahead, consensus estimates assume more OEMs will turn EBITDA positive in 2027, likely driven by overseas expansion (which offsets domestic decline) and internal organizational restructuring exercises to cut operating expenses, implying no industry consolidation in the near term.
- **Momentum of earnings cuts accelerating.** As illustrated in Exhibit 2, aggregate 2026E/2027E EBITDA consensus estimates for China OEMs have undergone four consecutive rounds of cuts over the last year, but the majority are still above cash cost levels. The momentum of cuts has been accelerating, with the last coming in at -4% post 1Q26 results, or a Rmb1.7bn/1.8bn downward revision to the industry total.

We lower our industry volume forecast by 5% in 2026E to reflect the declining domestic retail sales, despite strong export growth. We now model a -9% yoy domestic retail PV volume decline with +30% yoy export growth in 2026E, amounting to largely stable wholesale and production volume vs. 2025. We forecast 2026E NEV penetration at 60%, implying +1% yoy domestic retail NEV volume growth. Among our coverage, we believe **BYD (Buy), Leapmotor (Buy) and XPeng (Buy)** are better positioned for both domestic volume growth acceleration as well as higher overseas exposure, with accelerating new export model pipelines and sales network expansion.

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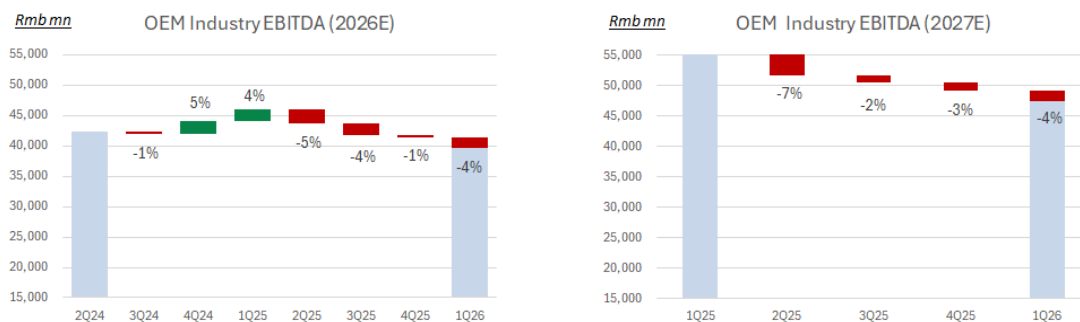
Key Charts

Exhibit 1: We do not expect consolidation to happen in the near term based on our framework

	2027E vs. 2025	2025	1Q26	2027E
Conclusion	Inflection point beyond 2027E			
(1) OEM at cash cost level	Improving	11 out of 14	10 out of 14	14 out of 14
(2) Management capitulating on profitability & expansion	Mixed	1) Volume guidance: Similar views on weak domestic demand mitigated by stronger export outlook. 2) Margin outlook: Different timing on when cost inflation is reflected resulted in diverging margin trajectory. 3) Capacity plan: Consensus view on lowering domestic ICE capacity and expanding overseas.		
(3) OEM in net debt position	Unchanged	1 out of 14	1 out of 14	1 out of 14

EBITDA and net debt estimates for our covered companies are based on GSe, while estimates for Not Covered companies are based on Bloomberg consensus

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 2: Aggregate 2026E/2027E EBITDA consensus estimates for China OEMs have undergone four consecutive rounds of cuts, and momentum has been accelerating

Source: Bloomberg

Inflection monitor - 2025/1Q26

Bottom line: Based on our three watch points below, the majority of the OEMs are still above cash cost with overall industry cash profit increasing in 2025/1Q26. On the other hand, the industry's cash position declined in 2025/1Q26 due to shortening payable cycles under government guidelines. Management teams expect strong overseas demand to mitigate domestic weakness, with mixed views on margin going into the next few quarters. At the same time, more companies are focusing on expanding overseas production. Overall we believe that 1) industry consolidation is yet to come amid a higher industry cash profit level, 2) stabilizing margins, supported by overseas sales and improved product mix, will mitigate domestic competition and cost pressure, and 3) increasing demand for equity issuance could stabilize the industry's cash position.

- 1. OEMs at cash cost level:** 11 out of 14 OEMs had positive EBITDA in 2025, vs. 10 in 2024. Auto OEM industry EBITDA continues to grow with ongoing cost-cutting measures (today's lowest priced NEV is c.US\$4k) and a profit contribution from strong export growth.
- 2. Management capitulating on profitability & expansion:** Although domestic demand is weaker than initial outlooks at the beginning of this year for most OEMs, strong export volume has supported overall volume growth. Management teams have mixed views on margin with some OEMs expecting lower sequential margins due to ongoing cost pressures, and others anticipating improving margins driven by higher volume and product mix. Also, we note that more OEMs are considering overseas capacity expansion.
- 3. Calculating potential tipping point:** Profitable OEMs on average have room to cut prices by 14% to maintain cash cost break-even, and certain loss-making OEMs could fall into a net debt position in 2028 and beyond without further funding, in our view.

We refresh our inflection point framework for the China autos space post 1Q26 results, following our last edition - [China Automobiles: Revisiting inflection framework: Capex expansion & competition amid slowing growth into 2026](#) (published in Jan 2026).

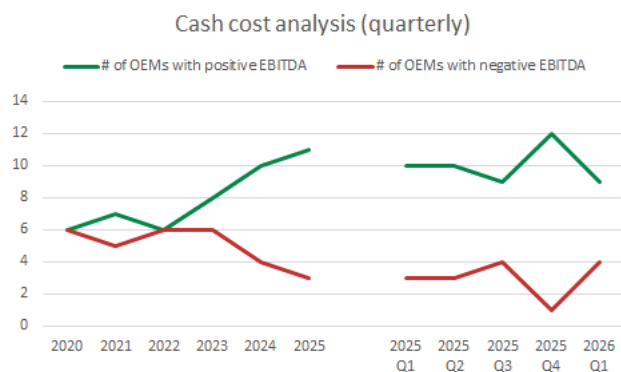
1: OEMs at cash cost level

We believe **the OEM industry inflection point will materialize when the majority of companies are at or near cash cost level**, i.e. the EBITDA break-even point. This would imply that cash flows for the majority of the industry have deteriorated to the point at which companies are no longer able to add any new capacity and/or have begun to take capacity off-line.

As of 2025/1Q26, 11/9 out of 14 OEMs had positive EBITDA, compared to 10/10 in 2024/1Q25. Meanwhile, OEM aggregate industry EBITDA increased by 6%/11% yoy in 2025/1Q26 (vs. 34%/15% yoy in 2024/1Q25). On the other hand, industry net cash declined by Rmb65bn in 1Q26 vs. 1Q25, mainly due to shortening payable days (especially for BYD). Accordingly, we expect the industry inflection point to be dragged out for a longer period due to strong cash profit generation despite lower net cash positions.

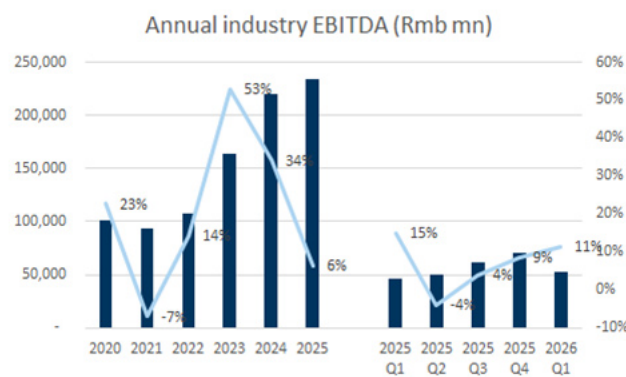
- As of 2025/1Q26, 11/9 out of 14 OEMs had positive EBITDA, compared to 10/10 in 2024/1Q25 ([Exhibit 3](#)), while OEM industry EBITDA increased by 6%/11% yoy in 2025/1Q26 (vs. 34%/15% yoy in 2024/1Q25) ([Exhibit 4](#)).
- Nio/Geely/Chery contributed the most to the 4Q25 yoy EBITDA increase ([Exhibit 6](#)); Nio/SAIC/Geely contributed the most to the 1Q26 yoy EBITDA increase ([Exhibit 8](#)).
- The industry's cash position declined in 4Q25/1Q26 due to shortening payable cycles under government guidelines and less equity raising ([Exhibit 9](#)).

Exhibit 3: 11 out of 14 OEMs were EBITDA positive in 2025 thanks to cost optimization and exports, while only 9 out of 14 OEMs were EBITDA positive in 1Q26 due to cost inflation pressure



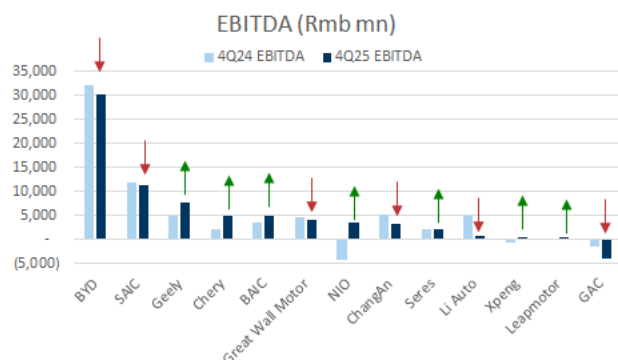
Source: Company data

Exhibit 4: OEM industry EBITDA continued to improve, supported by strong export growth despite domestic volume decline



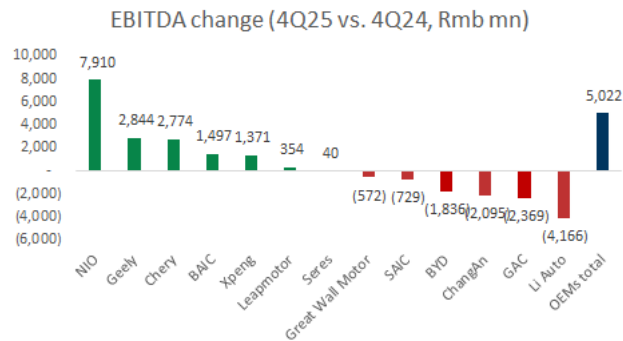
Source: Company data

Exhibit 5: Industry EBITDA became more evenly distributed, with yoy declines at the top 2 profit generators in 4Q25



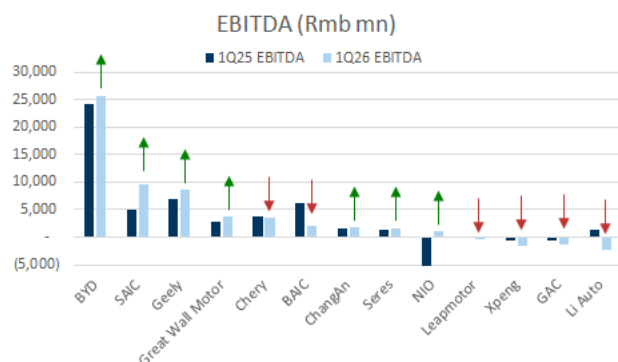
Source: Company data

Exhibit 6: Nio/Geely/Chery contributed the most to the 4Q25 yoy EBITDA increase



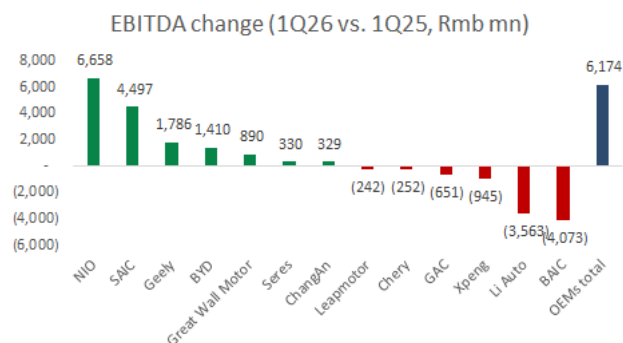
Source: Company data

Exhibit 7: Industry EBITDA became more skewed in terms of distribution in 1Q26, mainly because industry leaders have higher exposure overseas



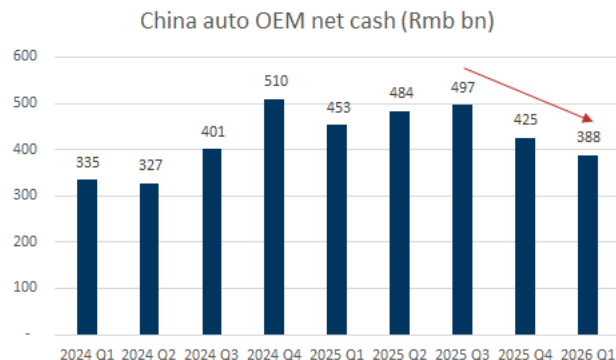
Source: Company data

Exhibit 8: Nio/SAIC/Geely contributed the most to the 1Q26 yoy EBITDA increase



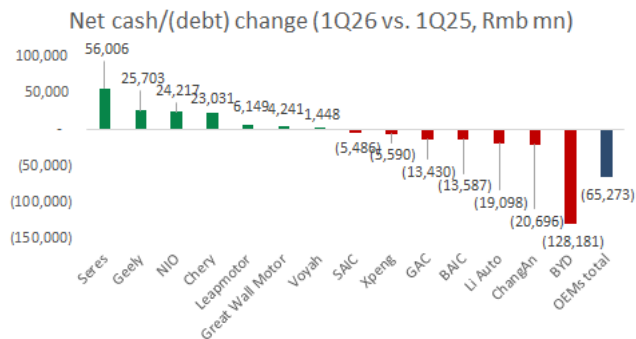
Source: Company data

Exhibit 9: OEM industry net cash declined to levels last seen in 2024



Source: Company data

Exhibit 10: OEM industry net cash declined by Rmb65bn in 1Q26 vs. 1Q25 mainly driven by BYD's payable payback



Source: Company data

On the other hand, we saw margin stabilization among suppliers in 1Q26, mainly on the contribution from battery systems, with gross margin/EBITDA margin/EBIT margin +1.0pp/-0.3pp/-0.1pp yoy in 1Q26. By segment, there was a divergence in profitability among suppliers in 1Q26, with stronger revenue growth/higher margins for battery systems and pressured revenues/margin deterioration for other suppliers. For battery systems, revenue growth was strong (+40% yoy, vs. 16.2% yoy for all suppliers excluding

outliers) and EBIT margins improved (+1.9pp yoy, vs. -0.4pp yoy for all suppliers excluding outliers), mainly driven by strong ESS demand and price increases amid raw material cost inflation. Meanwhile, other suppliers' revenue came under pressure given weak demand in 1Q26 and OEMs tried to optimize costs across other supply chains to mitigate lithium price increases. In terms of balance sheet, we continued to see pressure - OEMs' net cash decreased by Rmb65bn yoy and there was a +7pp increase in the total debt-to-equity ratio in 1Q26, while suppliers (excluding outliers) saw a Rmb29bn yoy increase in net debt and +4pp yoy increase in the total debt-to-equity ratio. The total liability-to-asset ratio remained relatively stable for both OEMs and suppliers as a whole.

Exhibit 11: OEMs/suppliers margin & leverage analysis (1Q26 vs. 1Q25)

Auto OEMs		Revenue (Rmb m)		Growth	Gross margin		Change	EBITDA margin		Change	EBIT margin		Change	Net margin		Change	Net cash (Rmb m)		Change	Total debt to equity		Change	Total liability to asset		Change
		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26	
BYD	NEV	170,260	150,225	-11.6%	20.1%	18.8%	-1.3%	14.2%	17.1%	2.9%	3.3%	2.7%	-0.5%	3.4%	2.7%	-0.7%	121,906	(8,271)	(10,811)	13%	52%	39%	71%	71%	0%
SAC	ICV/NEV	140,860	140,418	-0.3%	9.9%	13.8%	3.9%	3.6%	5.8%	2.2%	5.0%	3.7%	3.2%	5.0%	3.3%	0.2%	53,013	47,527	(5,486)	40%	24%	-13%	62%	61%	-1%
Geely	NEV	72,495	83,776	15.6%	15.8%	17.5%	1.7%	9.5%	10.3%	0.9%	4.7%	5.8%	1.1%	7.8%	5.0%	-2.9%	14,862	40,565	25,703	22%	16%	-6%	66%	65%	-1%
Chery	ICV/NEV	68,223	65,870	-3.4%	12.4%	10.0%	-3.6%	5.5%	5.3%	-0.2%	4.2%	4.1%	-0.1%	6.8%	6.3%	-0.5%	15,868	38,999	23,131	84%	25%	-59%	88%	80%	-8%
Great Wall Motor	ICV/NEV	40,019	45,109	12.7%	17.8%	18.5%	0.6%	7.3%	8.4%	1.2%	1.2%	2.4%	1.2%	4.4%	2.1%	-2.3%	10,609	14,850	4,241	25%	16%	-9%	61%	61%	0%
ChangAn	ICV/NEV	34,161	32,706	-4.3%	13.9%	14.1%	0.2%	4.5%	5.7%	1.2%	0.3%	1.5%	1.2%	4.0%	1.1%	-2.9%	58,142	37,445	(20,696)	1%	2%	1%	60%	57%	-3%
BAIC	ICV/NEV	42,444	31,412	-26.0%	20.2%	13.4%	-6.8%	14.8%	7.0%	-7.8%	9.6%	1.8%	-7.8%	2.2%	-2.6%	-4.8%	21,921	8,333	(13,587)	13%	15%	2%	52%	51%	-1%
Seres	NEV	19,147	25,746	34.5%	27.6%	26.2%	-1.4%	7.0%	6.5%	-0.5%	3.8%	3.3%	-0.5%	3.9%	2.9%	-1.0%	2,885	58,890	(56,006)	30%	12%	-19%	77%	66%	-11%
NIO	NEV	12,035	25,533	112.2%	7.6%	19.0%	11.4%	-45.2%	4.8%	50.0%	-53.3%	-1.2%	52.1%	-52.1%	0.2%	52.3%	7,735	31,953	24,217	249%	11%	137%	93%	89%	-4%
Li Auto	NEV	25,927	22,983	-11.4%	20.5%	7.9%	-12.6%	5.2%	-9.7%	-14.8%	1.0%	-13.0%	-14.1%	3.9%	-9.2%	-13.2%	102,307	83,210	(19,098)	12%	14%	3%	55%	51%	-4%
GAC	ICV/NEV	19,879	20,229	1.8%	1.2%	-0.1%	-1.3%	-3.2%	-6.4%	-3.2%	-14.9%	-14.8%	0.0%	-3.7%	-3.2%	0.4%	9,625	(1,805)	(11,430)	20%	42%	22%	43%	52%	8%
XPeng	NEV	15,811	13,034	-17.6%	15.6%	20.6%	5.0%	-3.4%	-11.4%	-8.0%	-6.6%	-14.4%	-7.8%	-2.7%	-12.4%	-10.2%	26,266	20,696	(5,569)	39%	54%	15%	65%	72%	6%
Leapmotor	NEV	10,020	10,820	8.0%	14.9%	9.4%	-5.4%	0.3%	-2.0%	-2.3%	-1.5%	-3.8%	-2.3%	-1.3%	-3.6%	-2.3%				24%	21%	-3%	73%	78%	4%
OEMs total		671,181	667,861	-0.5%	15.5%	16.0%	0.5%	7.0%	7.9%	1.0%	1.1%	1.7%	0.6%	3.1%	1.8%	-1.3%	448,078	376,657	(71,422)	37%	43%	7%	65%	65%	0%
Pure NEV OEMs		253,300	246,340	-2.8%	19.6%	18.3%	-1.3%	8.3%	9.9%	1.6%	-0.4%	-0.2%	0.1%	1.6%	0.3%	-1.3%	264,040	190,841	(73,199)	30%	53%	23%	71%	70%	0%
Traditional OEMs		418,081	419,520	0.3%	13.0%	14.7%	1.7%	6.7%	6.8%	0.0%	2.0%	2.8%	0.8%	4.6%	2.7%	-1.3%	184,039	185,814	(2,224)	40%	39%	-1%	62%	62%	0%
EV suppliers		Revenue (Rmb m)		Growth	Gross margin		Change	EBITDA margin		Change	EBIT margin		Change	Net margin		Change	Net cash (Rmb m)		Change	Total debt to equity		Change	Total liability to asset		Change
		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26		1Q25	1Q26	
Battery system (26%)		204,533	286,371	40.0%	19.8%	22.2%	2.4%	10.0%	17.2%	7.2%	8.9%	10.8%	1.9%	6.5%	8.2%	1.7%	16,916	68,987	52,071	58%	59%	1%	53%	53%	0%
Electric drive / electric control (21%)		55,348	56,788	2.6%	17.7%	19.0%	1.3%	11.5%	12.3%	0.8%	7.2%	7.3%	0.1%	5.8%	6.2%	0.5%	16,472	23,494	7,022	44%	39%	-5%	57%	53%	-4%
Vehicle body (15%)		45,417	44,673	-1.6%	11.9%	9.8%	-2.1%	7.5%	2.8%	-4.7%	2.3%	-2.8%	-5.1%	1.0%	-3.5%	-4.6%	15,251	18,162	2,911	40%	45%	4%	52%	53%	1%
Interior / exterior (13%)		105,150	106,651	1.4%	19.7%	20.7%	1.0%	12.6%	12.1%	-0.6%	6.9%	6.6%	-0.4%	5.1%	4.6%	-0.4%	(50,399)	(45,760)	4,638	49%	51%	2%	54%	55%	1%
Chassis system (7%)		56,984	57,529	1.0%	18.5%	19.2%	0.7%	12.2%	10.1%	-2.2%	7.3%	4.3%	-2.9%	5.6%	3.0%	-2.6%	4,042	6,280	2,239	48%	55%	7%	54%	55%	1%
ADAS / smart cabin (18%)		35,919	35,057	-2.4%	22.0%	21.7%	-0.3%	7.8%	5.8%	-2.0%	-1.2%	-0.9%	-0.3%	-2.6%	-2.6%	0.0%	(25,485)	(26,183)	(700)	49%	72%	22%	39%	47%	8%
Suppliers average		351,728	437,671	24.4%	19.3%	20.2%	1.0%	11.9%	11.5%	-0.3%	5.5%	5.4%	-0.1%	3.7%	3.6%	-0.1%	(36,920)	6,315	43,234	40%	57%	8%	49%	51%	2%
excl. Outliers		254,070	295,265	16.2%	18.2%	19.4%	1.2%	12.1%	11.9%	-0.2%	6.0%	5.6%	-0.4%	4.3%	3.8%	-0.4%	(210,255)	(238,748)	(28,514)	48%	52%	4%	50%	50%	1%
Battery system	Cathode	111,170	178,302	48.0%	17.7%	17.8%	0.4%	11.4%	11.1%	0.0%	6.2%	5.4%	-0.8%	4.3%	5.3%	0.8%	113,861	165,778	49,917	75%	80%	4%	65%	68%	3%
	Cell/pack	24,595	35,631	44.9%	13.8%	18.2%	4.4%	11.7%	15.7%	3.9%	7.0%	10.0%	3.0%	5.0%	7.0%	2.0%	(12,789)	(41,793)	(11,004)	51%	60%	8%	60%	51%	-9%
	Anode	8,019	9,731	21.3%	23.5%	24.0%	0.8%	18.1%	22.3%	4.2%	11.9%	15.8%	4.0%	8.9%	12.1%	3.2%	(18,769)	(18,339)	431	61%	57%	-4%	52%	52%	0%
	Separator	3,618	4,989	37.9%	21.3%	27.1%	5.8%	20.4%	24.6%	4.2%	6.4%	9.7%	3.3%	3.1%	5.6%	2.5%	(22,346)	(22,709)	(459)	81%	89%	8%	51%	51%	1%
	EV/ICEV	7,500	11,561	74.6%	16.6%	15.1%	-1.5%	10.0%	10.5%	0.5%	9.4%	9.1%	-0.3%	1.0%	1.5%	0.5%	17,901	(7,010)	(14,911)	17%	12%	-5%	57%	45%	-12%
	Battery connector	3,604	7,604	32.2%	21.5%	22.0%	0.5%	21.1%	20.9%	-0.2%	14.6%	12.6%	-1.9%	11.0%	10.6%	-0.3%	(8,797)	(11,430)	(4,641)	61%	117%	33%	54%	62%	8%
	BMS hardware	99,281	142,945	44.0%	21.2%	21.2%	0.1%	18.5%	18.4%	-0.1%	12.5%	12.6%	0.1%	10.2%	10.5%	0.3%	158,420	237,847	(79,428)	88%	65%	-23%	67%	64%	-4%
	Other components	19,907	21,999	10.5%	27.2%	26.6%	-0.6%	18.1%	15.9%	-2.3%	13.5%	11.2%	-2.3%	11.6%	9.8%	-1.9%	746	12,942	12,096	26%	17%	-8%	43%	40%	-3%
	Electric drive / electric control	45,333	45,427	0.2%	13.7%	15.5%	1.9%	7.4%	9.3%	1.9%	3.5%	5.2%	1.6%	2.6%	6.3%	3.6%	19,657	21,179	1,522	46%	53%	7%	61%	62%	1%
	Electric controller	49,352	50,326	2.0%	20.9%	20.6%	-0.3%	12.8%	10.3%	-2.5%	9.8%	7.3%	-2.5%	9.3%	6.8%	-2.5%	17,362	24,684	7,322	20%	14%	-6%	50%	54%	4%
	Motor drive module	1,040	1,219	16.5%	20.8%	22.9%	2.1%	24.1%	23.2%	-0.9%	13.7%	12.1%	-1.2%	5.1%	10.3%	5.1%	(1,988)	122	2,113	68%	15%	-53%	50%	25%	28%
	Door casing	3,014	3,188	5.8%	9.3%	7.3%	-2.0%	9.0%	2.0%	3.0%	2.8%	3.5%	0.7%	1.6%	3.9%	2.3%	(1,522)	(1,726)	(204)	52%	61%	8%	54%	57%	3%
	Seat, body stamping parts	41,502	41,485	0.0%	14.5%	12.2%	-2.3%	6.1%	2.7%	-3.5%	1.8%	-2.2%	-4.0%	0.5%	-3.1%	-3.6%	18,503	21,888	3,385	78%	28%	0%	50%	50%	0%
	Steering wheel	18,609	15,947	-14.0%	13.8%	12.2%	-1.6%	6.1%	7.7%	1.6%	4.4%	3.9%	-0.5%	2.0%	1.5%	-0.5%	(25,734)	(21,242)	4,492	114%	110%	4%	62%	62%	0%
	Interior / exterior	41,168	40,949	-0.5%	17.1%	19.3%	2.2%	9.3%	9.0%	-0.3%	4.6%	3.7%	-0.8%	3.0%	2.3%	-0.7%	19,515	22,448	3,933	38%	3%	4%	50%	51%	1%
Interior / exterior	Light	48,469	43,613	-9.9%	14.8%	15.7%	0.9%	11.7%	11.4%	-0.2%	7.9%	7.7%	-0.2%	7.0%	6.9%	-0.1%	20,628	20,562	3,944	13%	10%	-2%	50%	51%	0%
Chassis system	Glass	44,278	46,325	4.6%	26.4%	26.0%	-1.6%	18.0%	17.0%	-1.0%	9.2%	9.0%	0.5%	7.4%	7.1%	-0.3%	(40,750)	(40,075)	(1,785)	42%	40%	-4%	57%	57%	1%
	EV/ICEV/BEV/FCV/HEV	1,241	2,421	95.9%	20.1%	21.7%	1.1%	11.7%	11.4%	-0.2%	6.2%	7.2%	1.0%	4.7%	4.2%	-0.5%	(2,077)	(8,027)	(6,250)	12%	11%	-1%	52%	52%	0%
	Chassis structure	46,102	46,611	1.1%	15.4%	15.7%	0.3%	11.5%	11.4%	-0.1%	6.2%	7.2%	1.0%	4.7%	4.2%	-0.5%	10,767	10,062	2,299	18%	1%	1%	52%	51%	-1%
	Tires / tire processors	7,602	6,297	-17.1%	19.1%	19.6%	0.5%	12.4%	8.4%	-4.1%	7.7%	1.4%	-4.3%	3.8%	2.9%	-3.9%	(15,516)	(14,949)	569	91%	88%	0%	60%	60%	0%
	Screen	4,638	4,334	-6.5%	15.7%	15.3%	-0.4%	16.4%	10.4%	-6.0%	9.1%	3.4%	-5.8%	7.4%	2.2%	-5.2%	1,343	(2,003)	(3,846)	19%	11%	12%	37%	41%	5%
	Water/Air/HVAC	2,698	2,775	2.9%	13.9%	16.5%	3.6%	6.0%	5.5%	0.4%	-4.1%	-4.4%	-0.3%	-2.7%	-5.9%	-1.2%	(9,552)	(2,478)	1,014	54%	80%	14%	49%	44%	-5%
	Map	756	857	13.4%	14.4%	14.8%	0.4%	1.5%	1.6%	0.1%	-20.3%	-17.0%	3.3%	-1.5%	-1.5%	0.0%	(1,480)	(818)	6,622	10%	10%	0%	61%	61%	0%
ADAS / smart cabin	ADAS	27,030	27,091	-1.6%	27.6%	26.2%	-1.1%	7.1%	5.4%	-1.8%	1.8%	1.3%	0.5%	-3.8%	0.9%	2%	(25,077)	(21,756)	3,321	69%	18%	49%	39%	59%	20%

Exhibit 12: OEMs/suppliers margin & leverage analysis (2025 vs. 2024)

Auto OEMs		Revenue (Rmb mn)		Growth	Gross margin		Change	EBITDA margin		Change	EBIT margin		Change	Net margin		Change	Net cash (Rmb mn)		Change	Total debt to equity		Change	Total liability to asset		Change
		2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24
BYD	NEV	777,102	803,965	3.5%	19.4%	17.7%	-1.7%	13.5%	12.8%	-0.7%	5.2%	3.1%	-2.1%	5.2%	4.1%	-1.1%	112,667	19,457	(93,209)	15%	43%	27%	75%	71%	-4%
SAIC	ICE/NEV	626,240	656,244	4.8%	11.0%	11.3%	0.3%	4.1%	4.2%	0.1%	1.2%	1.3%	0.1%	0.3%	1.5%	1.3%	52,830	50,596	(2,234)	39%	25%	-14%	64%	62%	-1%
Geely	ICE/NEV	275,910	345,232	25.1%	16.6%	16.6%	0.0%	6.3%	10.1%	3.8%	2.9%	5.3%	2.6%	6.1%	4.9%	-1.2%	35,158	43,315	8,157	4%	20%	15%	69%	68%	-2%
Chery	ICE/NEV	269,897	300,287	11.3%	13.5%	13.8%	0.3%	5.5%	5.6%	0.1%	4.1%	4.2%	0.1%	5.2%	6.3%	1.1%	39,527	31,031	(8,496)	89%	31%	-58%	88%	80%	-7%
Great Wall Motor	ICE/NEV	202,194	222,824	10.2%	19.5%	18.0%	-1.5%	11.3%	9.0%	-2.3%	6.5%	4.0%	-2.4%	6.3%	4.4%	-1.8%	6,701	10,834	4,133	26%	16%	-9%	64%	61%	-3%
Seres	NEV	145,176	164,888	13.6%	26.2%	26.9%	0.7%	6.1%	7.0%	0.9%	3.2%	4.1%	0.9%	4.1%	3.6%	-0.5%	5,636	43,991	38,355	6%	10%	5%	87%	71%	-16%
BAIC	ICE/NEV	192,496	164,047	-14.8%	16.0%	11.6%	-4.5%	13.5%	11.9%	-1.6%	9.1%	6.4%	-2.8%	0.5%	0.1%	-0.4%	25,009	15,445	(9,564)	11%	10%	-1%	54%	54%	-1%
ChangAn	ICE/NEV	159,733	164,000	2.7%	14.9%	15.5%	0.6%	7.1%	4.8%	-2.3%	3.4%	1.0%	-2.5%	4.6%	2.5%	-2.1%	62,070	50,782	(11,287)	2%	3%	1%	62%	60%	-2%
U-Auto	NEV	144,660	112,313	-22.3%	20.5%	18.7%	-1.8%	7.0%	3.7%	-3.3%	4.9%	-0.3%	-5.3%	7.4%	2.1%	-5.3%	104,380	91,723	(12,657)	12%	13%	1%	56%	53%	-3%
GAC	ICE/NEV	107,784	96,542	-10.4%	6.5%	-5.6%	-12.2%	-0.7%	-8.6%	-7.9%	-8.6%	-17.6%	-8.1%	0.8%	-9.1%	-9.9%	11,206	(6,624)	(17,829)	30%	35%	6%	48%	49%	1%
NIO	NEV	65,732	87,488	33.1%	9.9%	13.6%	3.7%	-24.3%	-7.9%	-16.5%	-33.3%	-16.0%	17.2%	-31.0%	-14.2%	16.8%	22,671	30,294	7,623	142%	122%	-20%	87%	90%	2%
XPeng	NEV	40,866	76,720	87.7%	14.3%	18.9%	4.6%	-11.0%	-0.4%	10.6%	-16.3%	-3.6%	12.7%	-13.6%	-0.6%	13.0%	23,853	28,615	4,762	39%	42%	3%	62%	71%	8%
Leapmotor	NEV	32,164	64,732	101.3%	8.4%	14.5%	6.2%	-7.8%	2.1%	9.9%	-9.9%	0.3%	10.1%	-8.8%	0.8%	9.6%	5,322	11,471	6,149	24%	21%	-3%	73%	78%	4%
Voyah	NEV	49,361	34,865	-20.3%	21.0%	20.9%	-0.1%	8.2%	10.8%	2.7%	-1.0%	3.1%	4.2%	-0.5%	2.9%	3.4%	2,921	4,369	1,448	88%	34%	-54%	85%	74%	-12%
OEMs total		3,960,486	3,294,146	-7.4%	16.9%	15.3%	-0.7%	7.2%	7.1%	-0.1%	2.4%	1.8%	-0.6%	2.7%	2.5%	-0.2%	599,551	425,299	(174,082)	40%	39%	-1%	67%	66%	-1%
Pure NEV OEMs		1,234,861	1,344,969	9.8%	19.4%	18.7%	-0.7%	8.3%	8.6%	0.3%	1.6%	1.1%	-0.5%	2.3%	2.2%	-0.1%	277,450	329,919	(47,531)	36%	46%	10%	74%	71%	-3%
Traditional OEMs		1,835,604	1,949,176	6.2%	13.8%	12.9%	-0.8%	6.4%	6.1%	-0.4%	2.9%	2.2%	-0.7%	3.0%	2.6%	-0.3%	232,501	195,380	(37,121)	41%	35%	-6%	64%	63%	-1%

EV suppliers		Revenue (Rmb mn)		Growth	Gross margin		Change	EBITDA margin		Change	EBIT margin		Change	Net margin		Change	Net cash (Rmb mn)		Change	Total debt to equity		Change	Total liability to asset		Change
		2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24	2024	2025	25 vs. 24
Battery system (26%)		1,237,905	1,450,443	17.2%	18.4%	20.2%	0.8%	14.8%	16.3%	1.5%	7.0%	8.1%	1.1%	4.8%	5.7%	0.9%	146,140	283,522	137,382	65%	62%	-2%	53%	52%	-1%
Electric drive / electric control (21%)		399,660	438,790	9.8%	18.3%	18.5%	0.3%	13.7%	14.2%	0.4%	8.0%	8.4%	0.4%	6.7%	6.8%	0.1%	33,339	42,383	9,045	47%	29%	-18%	57%	49%	-8%
Vehicle body (15%)		195,004	204,718	5.0%	12.8%	12.0%	-0.8%	8.0%	9.1%	1.2%	2.4%	2.9%	0.5%	1.4%	1.5%	0.0%	14,958	16,930	1,971	36%	42%	6%	52%	53%	2%
Interior / exterior (13%)		620,541	668,368	7.7%	19.6%	19.4%	-0.1%	11.5%	13.9%	2.4%	7.2%	7.3%	0.1%	5.4%	5.3%	0.0%	(33,763)	(29,784)	3,979	71%	76%	5%	55%	55%	0%
Chassis system (7%)		239,589	260,225	8.6%	20.3%	18.5%	-1.7%	13.0%	9.8%	-3.2%	7.4%	4.1%	-3.3%	6.1%	2.1%	-4.0%	441	5,395	4,954	53%	53%	0%	56%	56%	0%
ADAS / smart cabin (18%)		144,384	159,190	10.3%	24.4%	22.4%	-2.0%	-3.1%	-1.9%	1.3%	-12.1%	-10.6%	1.4%	-8.0%	-8.7%	-0.7%	4,838	9,343	4,405	37%	48%	12%	38%	40%	2%
Suppliers average		1,472,845	1,663,960	13.0%	20.6%	20.3%	-0.3%	8.9%	10.0%	1.1%	2.3%	3.1%	0.8%	4.2%	-0.5%	-4.6%	(27,093)	87,670	114,763	53%	59%	6%	49%	50%	0%
excl. Outliers		1,055,067	1,177,113	11.6%	18.9%	18.6%	-0.3%	11.4%	12.3%	0.9%	5.0%	5.3%	0.3%	3.2%	4.1%	0.9%	(211,157)	(230,803)	(19,646)	53%	55%	2%	50%	50%	0%

Battery system	Cell/pack	513,720	602,605	17.3%	17.3%	16.3%	-0.9%	13.1%	12.9%	-0.2%	6.5%	6.0%	-0.5%	5.0%	4.2%	-0.8%	100,871	156,057	55,186	72%	75%	3%	65%	66%	1%
	Cathode	94,669	115,349	21.8%	15.0%	15.7%	0.6%	11.5%	13.2%	1.7%	6.0%	7.1%	1.1%	4.1%	5.1%	1.0%	(37,553)	(44,312)	(6,760)	60%	62%	2%	46%	50%	4%
	Anode	32,128	37,298	16.1%	20.9%	24.5%	3.6%	14.2%	21.4%	7.1%	6.5%	12.4%	5.9%	4.3%	9.5%	5.2%	(19,441)	(18,994)	447	65%	58%	-7%	52%	51%	-1%
	Separator	13,705	17,758	29.6%	20.1%	20.9%	0.8%	21.3%	24.9%	3.6%	3.5%	4.9%	1.4%	2.0%	1.4%	-0.6%	(21,429)	(22,774)	(1,345)	82%	83%	1%	51%	52%	1%
	Electrolyte	28,512	35,723	25.0%	18.1%	20.2%	2.1%	14.0%	16.9%	2.9%	5.7%	9.0%	3.3%	3.3%	7.1%	3.8%	(7,554)	(6,073)	1,481	45%	33%	-11%	46%	44%	-2%
	Battery connector	22,211	26,147	17.7%	12.4%	14.3%	1.9%	8.6%	8.3%	-0.3%	2.1%	2.2%	0.1%	1.0%	0.6%	-0.7%	(7,991)	(12,560)	(4,569)	77%	104%	26%	57%	63%	6%
	Battery case	39,586	45,400	14.7%	24.5%	24.0%	-0.5%	21.4%	21.2%	-0.2%	13.3%	13.3%	0.1%	10.6%	10.2%	-0.4%	(8,382)	(5,322)	3,060	43%	0%	-21%	45%	38%	-8%
	BMS hardware	417,876	484,885	16.0%	16.2%	18.3%	2.1%	10.2%	10.7%	0.5%	5.4%	5.3%	-0.1%	2.4%	2.6%	0.3%	143,556	222,655	79,099	119%	101%	-19%	69%	65%	-4%
	Other components	75,437	85,278	13.0%	30.1%	27.9%	-2.2%	18.9%	17.6%	-1.4%	14.3%	13.0%	-1.3%	12.7%	11.2%	-1.5%	4,063	14,846	10,783	25%	16%	-9%	46%	42%	-5%
	Electric motor	189,358	205,237	8.4%	14.1%	14.7%	0.5%	7.4%	8.9%	1.5%	3.5%	5.0%	1.5%	2.8%	4.2%	1.4%	18,611	19,298	687	45%	50%	5%	61%	62%	1%
Electric drive / electric control system	Electric controller	205,893	229,104	11.3%	20.5%	20.6%	0.2%	11.2%	11.3%	-0.2%	8.6%	8.6%	0.0%	8.1%	8.0%	-0.1%	16,881	23,210	6,328	20%	17%	-3%	37%	36%	-1%
	Motor drive module	4,409	4,450	0.9%	20.9%	20.3%	-0.1%	22.3%	22.2%	-0.1%	11.8%	11.5%	-0.3%	9.8%	8.2%	-1.1%	(2,153)	(124)	2,029	76%	20%	-57%	53%	29%	23%
	Door casting	20,180	14,507	-26.1%	9.4%	8.3%	-1.1%	5.6%	7.0%	1.4%	-0.3%	-0.1%	0.2%	-1.2%	1.5%	-0.3%	(3,018)	(3,553)	(533)	45%	59%	13%	54%	56%	2%
	Seat, body stamping	174,824	189,811	8.6%	16.2%	15.7%	-0.5%	10.3%	11.3%	0.9%	5.2%	6.0%	0.9%	4.0%	4.4%	0.4%	17,976	20,481	2,505	27%	25%	-2%	49%	50%	1%
	Steering wheel	64,846	71,094	9.6%	14.0%	14.4%	0.5%	9.2%	8.7%	-0.5%	4.4%	3.3%	-1.1%	2.1%	1.2%	-0.9%	(23,409)	(23,357)	53	108%	113%	3%	62%	62%	1%
	Seat interior	195,131	213,067	9.2%	21.2%	20.1%	-1.1%	13.1%	12.4%	-0.7%	7.7%	6.8%	-0.9%	6.3%	5.1%	-1.2%	11,969	15,241	3,272	30%	32%	2%	49%	48%	-1%
	Light	182,105	199,256	9.4%	15.7%	16.0%	0.3%	12.2%	12.2%	-0.1%	8.4%	8.6%	0.2%	7.5%	7.6%	0.0%	19,869	22,892	3,022	12%	11%	-1%	32%	35%	3%
	Glass	176,458	164,951	-6.6%	17.3%	27.2%	10.0%	11.5%	22.4%	10.9%	8.2%	10.5%	2.3%	5.6%	7.5%	2.0%	(62,192)	(44,560)	17,632	195%	150%	-45%	57%	58%	1%
	Steering / braking system	195,453	133,255	-31.9%	20.7%	20.6%	-0.1%	10.5%	9.2%	-1.3%	4.5%	2.0%	-2.5%	4.1%	4.9%	-0.8%	37	180	142	35%	44%	9%	53%	54%	2%
	Chassis structure	195,453	213,580	9.3%	16.5%	15.9%	-0.6%	14.0%	13.2%	-0.8%	9.2%	8.2%	-1.0%	7.9%	6.9%	-0.9%	15,071	20,619	5,549	30%	21%	-9%	56%	55%	-1%
ADAS / smart cabin	Tires / tire pressure	29,083	33,389	14.8%	23.6%	19.1%	-4.5%	14.7%	10.9%	-3.7%	8.3%	6.0%	-2.3%	6.3%	4.3%	-2.1%	(14,667)	(15,404)	(737)	95%	95%	0%	61%	60%	0%
	Screen	18,388	19,170	4.2%	15.1%	16.9%	1.8%	8.1%	15.7%	7.6%	-0.1%	7.4%	7.5%	-1.2%	6.1%	7.3%	1,717	(2,348)	(4,064)	20%	29%	9%	37%	42%	5%
	Meter/Antenna	10,849	11,628	7.2%	15.5%	15.2%	-0.3%	3.0%	7.0%	4.0%	7.1%	-3.6%	3.5%	-7.9%	-3.6%	4.3%	(3,778)	(2,413)	1,365	56%	47%	-9%	49%	48%	0%
	Map	7,518	4,125	-45.1%	34.4%	24.7%	-9.7%	10.3%	31.0%	21.0%	30.5%	21.0%	9.4%	32.5%	1.5%	34.0%	1,795	776	(1,020)	8%	10%	2%	21%	23%	2%
ADAS total		111,629	124,766	11.3%	32.4%	32.7%	0.2%	-13.1%	-9.3%	3.8%	-20.1%	-15.9%	4.2%	9.9%	-38.6%	-48.4%	5,103	13,228	8,124	63%	107%	44%	45%	45%	0%

2: Management capitulating on profitability & expansion

We believe the **industry will start to consolidate when management teams become pessimistic about both the industry and their own company's outlook**, which is when we would expect them to start cutting back on capex and opex. Thereafter, industry supply-demand could begin to rebalance with a potential operating leverage turn-around.

Consensus - We note that management teams tend to agree on domestic demand being weak and the export outlook being strong, leading to an industry consensus to cut domestic ICE capacity while seeing more discussions to expand overseas (especially in Europe). **Debates** - Management teams are different on the timeline for cost pressures to be fully reflected and profit to bottom out, and thus there are mixed views on volume/margin depending on companies' product cycles and overseas exposure.

- **Mixed views on volume guidance:** Based on management teams' commentary on the overall industry, they share similar views on weak domestic demand mitigated by a stronger-than-expected export outlook, leading to a mixed volume outlook depending on their domestic model cycles and overseas exposure.
 - **Weaker domestic demand:** Management teams are on the same page in anticipating a high-single-digit to low-teens decline in domestic demand this year (vs. -5% to +1% yoy growth per most management teams during our [2026 mgmt outlook call series](#) at the beginning of 2026).
 - **Stronger export outlook:** On the other hand, exports continue to beat management expectations, driven especially by high oil prices post the Middle East crisis. Multiple OEMs have raised their export guidance.
- **Mixed views on margin outlook:**
 - **Competition shifts from price to technology:** Within the mass market, BYD aims to improve market share, driven mainly by new technology rather than price competition. Management teams also highlighted more crowded competition within the premium segment (e.g. large 6-seater SUVs). Seres believes Chinese brands will continue to take share from foreign premium brands, and Li Auto/Nio expect potential consolidation on the back of technology (e.g. embodied AI) and increasing brand awareness. Meanwhile, XPeng sees its premiumization as well on track, evidenced by strong orders for GX models.
 - **Different timelines on when cost pressures are reflected...:** Some OEMs believe cost pressure was already reflected in earnings in 1Q26, while others see continued pressure into 2Q26/3Q26.
 - **...resulting in diverging margin trajectories:** As a result, some OEMs expect lower sequential margins from ongoing cost pressures, while others look for margin improvement driven by higher volume and product mix.
- **Consensus view on lowering domestic ICE capacity and expanding overseas:** Management teams generally plan to continue reducing ICE capacity domestically, while having more discussions about expanding overseas production capacity, especially in Europe (e.g. BYD, SAIC, Chery, Great Wall, XPeng).

Exhibit 13: Management commentary on volume/profit/capex YTD in 2026

	Volume			Profit			Capex	
	Domestic outlook	Export outlook	Overall	Competition	Cost	Margin	Capacity (domestic)	Capacity (overseas)
Overall view	High single-digit to low-teens domestic decline	Beating expectation and raising guidance	Mixed - depending on domestic new model cycle and overseas exposure	Competition shifts from price to technology	Mixed - some believe cost pressure already reflected in 1Q26, while others believe till 2Q26/3Q26	Mix - some expect lower margin from ongoing cost pressure, others see improving margin driven by higher volume & product mix	Ongoing ICE capacity reduction	More discussions to expand overseas production capacity, esp. in Europe
BYD		BYD expresses strong confidence on overseas sales target of 1.5mn units for 2026		BYD targets to improve market share with new technology (flash charging, smart driving)				Per Car News, BYD is in talks with Volkswagen to take over part of the VW's Transparent Factory in Dresden, Germany
SAIC		SAIC continues to guide 1.3mn units overseas sales target in 2026	SAIC expects PV wholesale of 34.75mn units in 2026 (+1% yoy) from -1.9% retail and 10%+ export, under declining marginal boost from subsidy		SAIC sees max BOM cost increase of Rmb8k, while it expects high-end models could better absorb cost pressure			Per Reuters, SAIC plans to build its first EU car plant in Galicia, Spain
Geely		Geely raised 2026 overseas sales target to 750k (+79% yoy) from 640k units (+50% yoy)		Geely targets to become No.1 automaker in domestic market in 2026, banking on technological differentiation rather than pure price discounting				Per Reuters, Geely is reportedly in talks to acquire or lease a production line at Ford's Valencia (Spain) facility to assemble vehicles locally
Chery	Chery expects low-teens decline in domestic PV retail sales volume in 2026, sees downside to its domestic target of 1.5mn units	Chery sees upside to its overseas volume guidance of 1.5mn units in 2026			Chery expects highest pressure from cost inflation in 3Q26 mainly on higher memory cost, while lower price from LCE in 2027 and memory price unlikely to decrease in 2027		Chery Jaguar Land Rover completely ceases production of ICEs in Mar 2026, converting to NEV Freelander brand	Chery plans to start making cars at a former Nissan plant in Barcelona by YE26 or 1Q27, through a JV with Spanish carmaker EBRO. The Chery-EBRO venture said in 2024 it would aim to produce up to 150k vehicles a year by 2029
Great Wall		Great Wall is confident to achieve overseas sales target of 600k in 2026, expecting monthly delivery overseas to reach 70k-80k by 4Q26		Great Wall is facing intense competition in off-road SUVs		Great Wall sees 1Q26 profit as the bottom of full year		Great Wall aims to build a factory in Europe with an annual production capacity of 300k cars by 2029
Seres		Seres expects overseas sales ramp-up through 2026-27	Seres targets to achieve volume delivery of 500k (from AITO) units in 2026 (19% yoy vs. 420k from AITO in 2025)	Seres notes that sales of premium ICE vehicles fell to 1.66mn units in 2025 (-46% vs. 2022 levels), with this vacuum filled by domestic brands	Seres sees the highest margin pressure in 1Q26, mainly from higher lithium price vs. memory cost	Seres forecasts margin improvement quarter by quarter, especially after the M9 facelift (launched in May) is fully delivered throughout 3Q26		
BAIC					BAIC sees cost pressure in 1Q26, trying to mitigate impact through cost optimization, product mix			
ChangAn	ChangAn sees 300k-400k units demand decline due to declining trade-in subsidy		ChangAn expects 3.43mn units in 2026 (1.43mn units from NEV, 800k units from overseas)	ChangAn sees intense competition to consolidate the industry, with annual volume of 3mn-4mn for survival threshold	ChangAn sees cost pressure, seeing potential battery suppliers change to mitigate cost pressure			
Li Auto	Li Auto sees long-term outlook remains highly optimistic, with expectations that NEV penetration in the premium segment to exceed 60% in 2026		Li Auto continues to guide 2026 volume growth of 20%	Li Auto views that competition over the next 3-5 years as a contest of embodied AI (incl. proprietary chips and large foundation models), and it stated not to enter the market below Rmb200k		Li Auto guides 2Q26 vehicle margin of 10% from 7% in 1Q26, with unchanged total gross margin of 15% in 2026		
GAC	GAC expects double-digit decline in domestic PV retail volume in 2026 (vs. flat at beginning of 2026)		GAC maintains its 2026 total volume guidance at 2mn units (vs. 1.72mn units in 2025), higher-than-industry growth post its structural reform mainly completed in 2025		GAC expects margin pressure from battery will not be fully reflected in 1Q26, seeing continuous pressure in 2Q/3Q	GAC expects better profitability driven by scale effect, as utilization rate for own brands capacity is only around 50% (vs. 600k units capacity) in 2025	GAC Honda Guangzhou Huangpu plant will cease production in June 2026, Dongfeng Honda Wuhan Plant will halt production in 2027. Following this new round of shutdowns, Honda's annual production capacity in China will be reduced from 1.2mn to 720k	
NIO				Nio sees increasing competition in premium segment, but expects consolidation within premium segment with more brand awareness going forward	NIO sees BOM cost increase of Rmb10k+ due to memory chip, copper and aluminum	NIO guides vehicle margin of 17-18% in 2Q26/2026 vs. 19% in 1Q26, while it expects to unlock full-year non-GAAP profitability in 2026 for the first time		
XPeng		XPeng expects 100% yoy growth and qoq improving volume overseas going forward, driven by more affordable models to launch overseas	XPeng expects quarterly sales to trend continuously upward and achieve yoy growth significantly outpacing the broader industry average	XPeng sees its premiumization strategy well on track evidenced by strong order intakes for G6 model, esp. seeing higher-than-expected proportion from high-end trims		XPeng guides total gross margin of 20%/high-teens in 2Q26/2026, vs. 21% in 1Q26, while it expects 1Q26 is the bottom for volume, profit and cash flow		XPeng believes most of its overseas sales in Europe would be locally produced this year
Leapmotor	Leapmotor highlights that the weak demand is expected to be relieved in later months of the year, potentially seeing further government support in 2H26	Leapmotor is confident to achieve overseas sales of 150k units (high-end of target), while seeing limited freight capacity for further upside	Leapmotor continues to guide 2026 volume of 1mn units (360k units in 1H26, 640k units in 2H26)		Leapmotor sees continuing increase in raw material cost, with cost pressure to gradually reflect in 2Q26	Leapmotor sees pressure on its profit guidance of Rmb5bn		Leapmotor plans to commence production at the Zaragoza plant in Spain potentially as early as 2026 through its joint venture with Stellantis, while also exploring the transfer of ownership of the Villaverde plant in Madrid

Source: Company data

3: Calculating the potential tipping point

We carry out an analysis to assess the **potential tipping point for different OEMs as to when they could reach EBITDA break-even point and the timing of net cash exhaustion.**

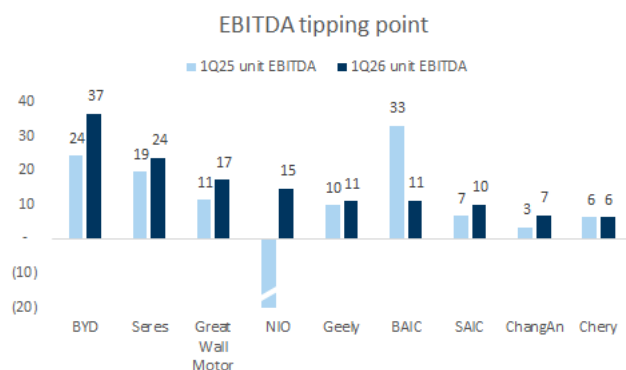
For the group of OEMs with positive EBITDA in 1Q26, our analysis suggests that they may have capacity for further 5%-24% price cuts before getting to cash cost (vs. 4%-18% in 1Q25); for the OEMs with EBITDA losses but with continued net cash on hand in 1Q26, our analysis suggests that all would fall into a net debt position from 2028 or beyond (except for GAC, which is already in net debt), vs. tipping points in Aug 2025 for Nio, 2026 for Leapmotor and XPeng, and post-2027 for GAC based on our analysis as of 1Q25.

- For **OEMs with positive EBITDA**, we try to answer the question: **At what price would these OEMs get to EBITDA of zero?**

We note that 9 OEMs had positive EBITDA as of 1Q26 (vs. 12/10 in 4Q25/1Q25), and we calculate the unit EBITDA for these companies in Exhibit 14. We assume that unit EBITDA value is equivalent to the magnitude of price cuts it takes to get to an EBITDA of zero. For these 9 OEMs, their 1Q26 blended ASP ex-VAT (calculated by dividing vehicle revenue by vehicle sales volume) ranges from Rmb79k to Rmb347k (vs. Rmb77k to Rmb265k for 9 OEMs with positive EBITDA in 1Q25).

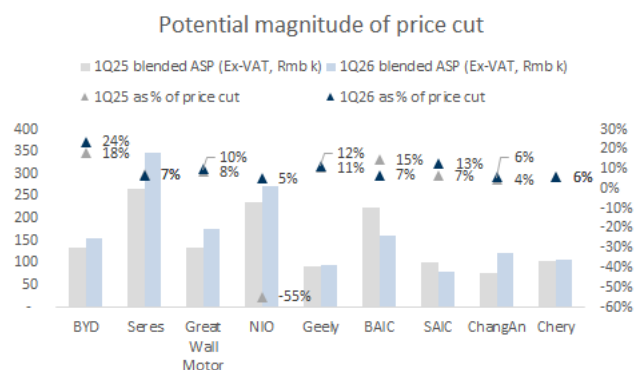
Conclusion: Our calculation implies a price cut range of 5%-24% for these companies (vs. 4%-18% in 1Q25) (Exhibit 15).

Exhibit 14: Unit EBITDA for profitable OEMs ranged from Rmb6k to Rmb37k in 1Q26



Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 15: Potential magnitude of price cuts implied by 1Q26 EBITDA break-even point



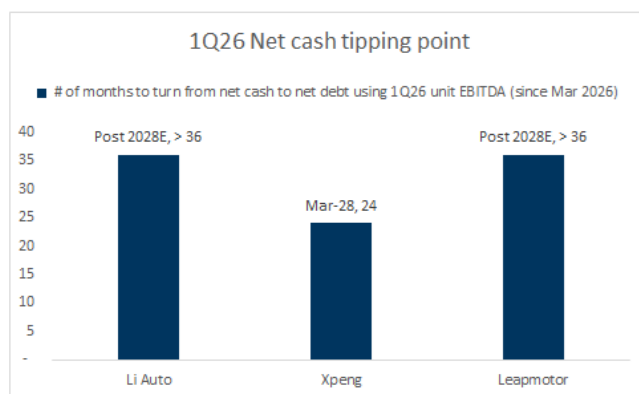
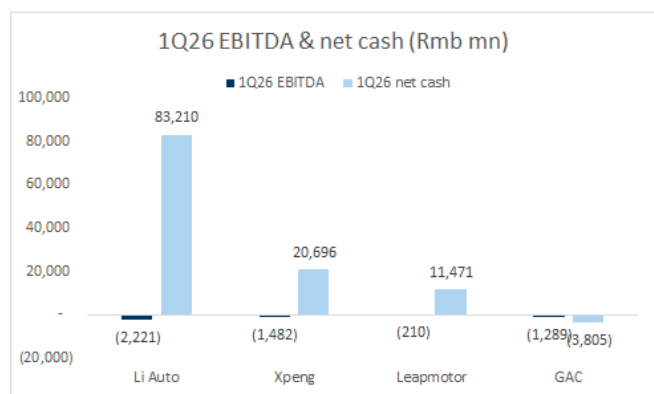
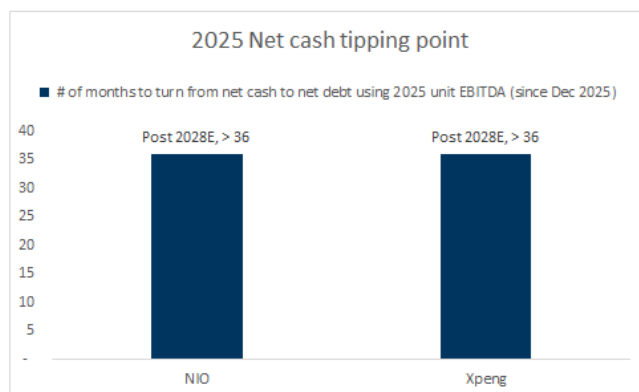
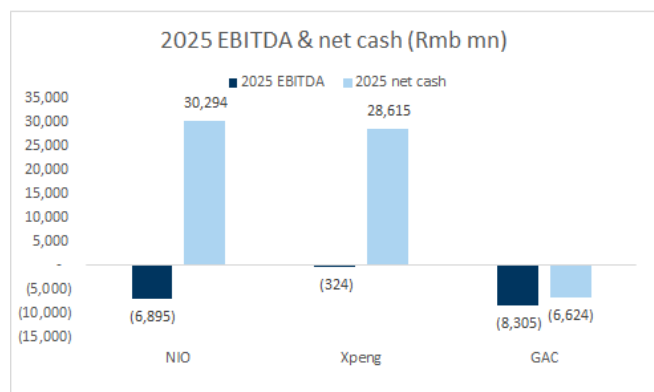
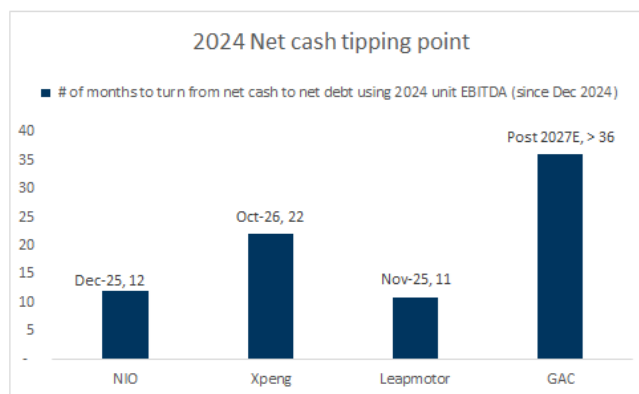
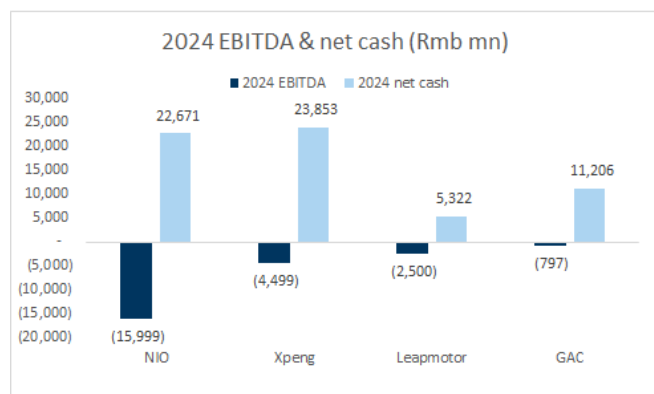
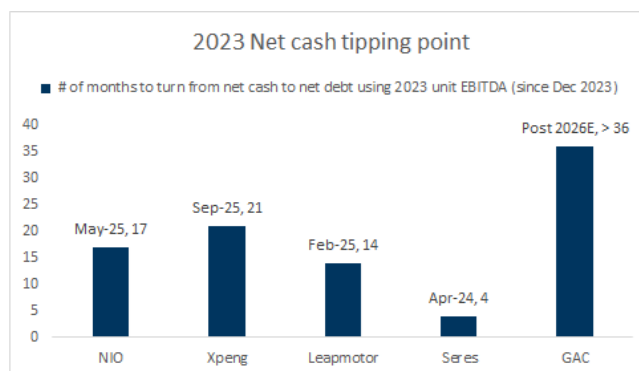
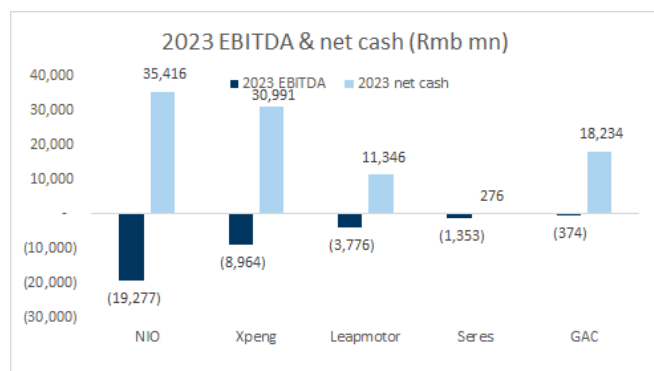
Source: Company data, Data compiled by Goldman Sachs Global Investment Research

- For **OEMs with negative EBITDA but in a net cash position**, we try to answer the question: **How many months will it take to eliminate the net cash position at the current rate of loss?**

We note 3 OEMs are loss-making on an EBITDA level, but still had net cash on their balance sheets as of 1Q26 (GAC has negative EBITDA and was already in a net debt position). We calculate the unit EBITDA loss for these companies and assume a similar rate of unit EBITDA loss going forward, based on which we estimate how many months it would take to exhaust the net cash on hand. Our monthly sales assumptions are either based on our published models for covered companies, or on

the monthly average of annual consensus volume estimates for Not Covered names.

Conclusion: Our analysis suggests that all would move into a net debt position no earlier than 2028 or beyond, with XPeng shifting from net cash to net debt in Mar 2028 due to cost pressures in 1Q26 (pulled in by 9+ months vs. estimates using 2025 unit EBITDA/2025 net cash), and Li Auto/Leapmotor doing so only after 2028 (Exhibit 16).

Exhibit 16: Tipping point calculation for OEMs with negative EBITDA but in a net cash position

Source: Company data, Goldman Sachs Global Investment Research

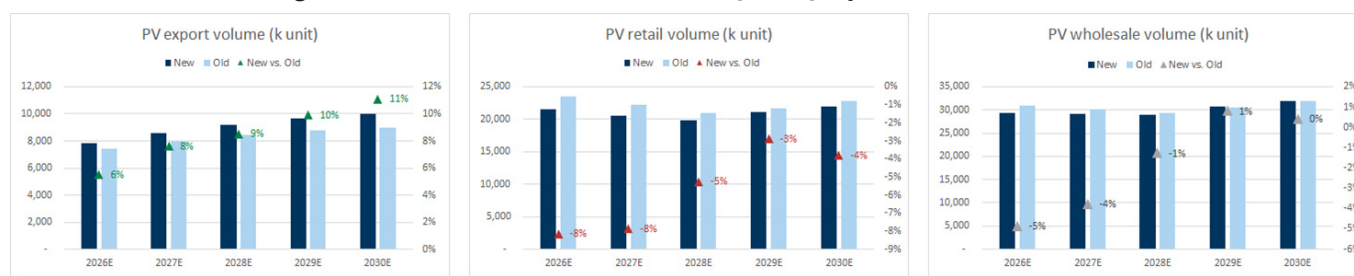
Revising our industry model with lower domestic and higher export volume

We lower our PV retail volume forecasts for the domestic market by 3%-8% over 2026E-2030E, mainly reflecting weaker-than-expected domestic demand in 5M26 driven by 1) a lower trade-in subsidy in 2026 compared to 2025, 2) a higher NEV purchase tax starting in 2026, and 3) the declining effectiveness of subsidies with demand already being pulled forward in 2024 and 2025.

On the other hand, we raise our China passenger vehicle export volume forecast by 6%-11% over 2026E-2030E, expecting 7.8mn units in 2026E rising to 10mn in 2030E (accounting for 17% of market share ex-China/US). Among this, we expect NEV penetration to increase from 49% to 70%, translating to a 26% CAGR over the next five years, underpinned by accelerating NEV penetration from both increased model supply with both improved features and cost competitiveness vs. ICE.

Net-net, we revise our forecast for China passenger vehicle production/wholesale volume by -5% to +1% over 2026E-2030E, primarily due to weak domestic demand offset by strong export momentum.

Exhibit 17: Estimate changes for PV volume in terms of wholesale/retail/export



Source: Goldman Sachs Global Investment Research

Exhibit 18: China Auto industry model

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
PV: Passenger vehicle volume structure (k units)																
Production capacity	41,532	40,890	42,890	46,738	46,738	46,738	46,738	46,738	46,738	46,738	46,738	46,738	46,738	46,738	46,738	46,738
Net add	1,627	(642)	2,000	3,848	-	-	-	-	-	-	-	-	-	-	-	-
% yoy change	4.1%	-1.5%	4.9%	9.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% utilization	47.7%	50.8%	55.7%	57.0%	57.2%	63.4%	62.8%	62.2%	62.1%	65.7%	68.4%	69.1%	69.6%	70.0%	70.2%	70.4%
Production volume	19,434	20,927	23,325	25,555	26,739	29,654	29,371	29,090	29,002	30,705	31,977	32,299	32,535	32,707	32,833	32,924
% yoy change	-6.9%	7.7%	11.5%	9.6%	4.6%	10.9%	-1.0%	-1.0%	-0.3%	5.9%	4.1%	1.0%	0.7%	0.5%	0.4%	0.3%
Wholesale volume	19,758	21,051	23,126	25,561	27,102	29,530	29,371	29,090	29,002	30,705	31,977	32,299	32,535	32,707	32,833	32,924
% yoy change	-6.3%	6.5%	9.9%	10.5%	6.0%	9.0%	-0.5%	-1.0%	-0.3%	5.9%	4.1%	1.0%	0.7%	0.5%	0.4%	0.3%
Export volume	786	1,602	2,525	4,084	4,943	6,005	7,807	8,588	9,189	9,639	10,003	10,267	10,457	10,592	10,688	10,756
% yoy change	-12.6%	103.9%	57.6%	61.7%	21.0%	21.5%	30.0%	10.0%	7.0%	4.9%	3.8%	2.6%	1.8%	1.3%	0.9%	0.6%
Retail volume	19,288	20,146	20,542	21,715	22,881	23,729	21,564	20,502	19,813	21,066	21,974	22,032	22,078	22,115	22,145	22,168
% yoy change	-6.7%	4.4%	2.0%	5.7%	5.4%	3.7%	-9.1%	-4.9%	-3.4%	6.3%	4.3%	0.3%	0.2%	0.2%	0.1%	0.1%
Underlying demand	19,288	20,146	20,542	21,715	21,181	21,393	21,564	21,702	21,813	21,902	21,974	22,032	22,078	22,115	22,145	22,168
Total passenger vehicle fleet	223,338	240,742	256,622	271,950	287,404	298,537	307,292	313,314	316,655	318,592	319,476	319,256	318,820	319,417	320,944	322,949
% yoy change	7.8%	7.8%	6.6%	6.0%	5.7%	3.9%	2.9%	2.0%	1.1%	0.6%	0.3%	-0.1%	-0.1%	0.2%	0.5%	0.6%
NEV: New energy vehicle volume structure (k units)																
Production capacity	4,500	7,848	11,159	16,634	17,303	20,356	22,356	23,856	24,856	25,356	25,856	26,356	26,856	27,356	27,856	28,356
Net add	2,500	3,348	3,312	5,475	669	3,052	2,000	1,500	1,000	500	500	500	500	500	500	500
% yoy change	125.0%	74.4%	42.2%	49.1%	4.0%	17.6%	9.8%	6.7%	4.2%	2.0%	2.0%	1.9%	1.9%	1.9%	1.8%	1.8%
% utilization	35.0%	53.5%	69.8%	64.1%	71.3%	81.5%	78.4%	78.7%	80.2%	88.2%	96.0%	96.3%	96.3%	96.2%	96.0%	95.7%
Production volume	1,139	3,306	6,634	8,914	12,092	15,342	16,736	18,193	19,538	22,131	24,581	25,135	25,633	26,088	26,511	26,910
% yoy change	27.3%	190.2%	100.7%	34.4%	35.6%	26.9%	9.1%	8.7%	7.4%	13.3%	11.1%	2.3%	2.0%	1.8%	1.6%	1.5%
Wholesale volume	1,152	3,217	6,475	8,876	12,155	15,316	16,736	18,193	19,538	22,131	24,581	25,135	25,633	26,088	26,511	26,910
% yoy change	8.7%	179.2%	101.3%	37.1%	36.9%	26.0%	9.3%	8.7%	7.4%	13.3%	11.1%	2.3%	2.0%	1.8%	1.6%	1.5%
% penetration	6%	15%	28%	35%	45%	52%	57%	63%	67%	72%	77%	78%	79%	80%	81%	82%
Export volume	72	264	639	1,153	1,231	2,212	3,812	4,881	5,682	6,346	7,002	7,289	7,529	7,732	7,909	8,067
Net add	(13)	192	374	515	77	981	1,608	801	664	656	288	239	203	177	158	
% yoy change	-15.7%	267.5%	141.7%	80.6%	6.7%	79.7%	72.4%	28.0%	16.4%	11.7%	10.3%	4.1%	3.3%	2.7%	2.3%	2.0%
% penetration	9%	16%	25%	28%	25%	37%	49%	57%	62%	66%	70%	71%	72%	73%	74%	75%
Retail volume	1,111	2,989	5,674	7,742	10,897	12,798	12,924	13,313	13,856	15,786	17,579	17,846	18,104	18,355	18,602	18,843
Net add	50	1,878	2,685	2,068	3,154	1,902	126	389	543	1,930	1,794	266	258	252	246	242
% yoy change	5%	169%	90%	36%	41%	17%	1%	3%	4%	14%	11%	2%	1%	1%	1%	1%
% penetration	6%	15%	28%	36%	48%	54%	60%	65%	70%	75%	80%	81%	82%	83%	84%	85%
New energy vehicle fleet	4,920	7,840	13,100	20,410	31,400	43,545	55,574	67,811	79,947	92,474	104,585	114,327	121,951	128,100	133,690	139,169
% yoy change	29.1%	59.3%	67.1%	55.8%	53.8%	38.7%	27.6%	22.0%	17.9%	15.7%	13.1%	9.3%	6.7%	5.0%	4.4%	4.1%
ICE: Internal combustion engine vehicle volume structure (k units)																
Production capacity	37,032	33,043	31,731	30,103	29,434	26,382	24,382	22,882	21,882	21,382	20,882	20,382	19,882	19,382	18,882	18,382
Net add	(873)	(3,990)	(1,312)	(1,627)	(669)	(3,052)	(2,000)	(1,500)	(1,000)	(500)	(500)	(500)	(500)	(500)	(500)	(500)
% yoy change	-2.3%	-10.8%	-4.0%	-5.1%	-2.2%	-10.4%	-7.6%	-6.2%	-4.4%	-2.3%	-2.3%	-2.4%	-2.5%	-2.5%	-2.6%	-2.6%
% utilization	48.8%	50.3%	51.5%	53.8%	49.2%	51.3%	49.8%	46.1%	42.3%	39.6%	35.0%	34.7%	34.3%	33.7%	33.0%	32.3%
Production volume	18,295	17,621	16,691	16,640	14,647	14,312	12,634	10,896	9,464	8,574	7,396	7,163	6,902	6,619	6,322	6,014
% yoy change	-8.4%	-3.7%	-5.3%	-0.3%	-12.0%	-2.3%	-11.7%	-13.8%	-13.1%	-9.4%	-13.7%	-3.1%	-3.7%	-4.1%	-4.5%	-4.9%
Wholesale volume	18,606	17,835	16,651	16,685	14,947	14,214	12,634	10,896	9,464	8,574	7,396	7,163	6,902	6,619	6,322	6,014
% yoy change	-7.1%	-4.1%	-6.6%	0.2%	-10.4%	-4.9%	-11.1%	-13.8%	-13.1%	-9.4%	-13.7%	-3.1%	-3.7%	-4.1%	-4.5%	-4.9%
Export volume	714	1,338	1,887	2,930	3,712	3,793	3,995	3,707	3,507	3,293	3,001	2,977	2,928	2,860	2,779	2,689
Net add	(100)	624	549	1,043	782	81	201	(288)	(200)	(214)	(293)	(23)	(50)	(68)	(81)	(90)
% yoy change	-12.3%	87.5%	41.0%	55.3%	26.7%	2.2%	5.3%	-7.2%	-5.4%	-6.1%	-8.9%	-0.8%	-1.7%	-2.3%	-2.8%	-3.2%
Retail volume	18,177	17,157	14,868	13,972	11,984	10,931	8,640	7,189	5,957	5,280	4,395	4,186	3,974	3,760	3,543	3,325
% yoy change	-7%	-6%	-13%	-6%	-14%	-9%	-21%	-17%	-17%	-11%	-17%	-5%	-5%	-5%	-6%	-6%
% penetration	94%	85%	72%	64%	52%	46%	40%	35%	30%	25%	20%	19%	18%	17%	16%	15%
Internal combustion engine fleet	218,418	232,902	243,522	251,540	256,004	254,993	251,718	245,503	236,708	226,118	214,891	204,929	196,869	191,317	187,254	183,780
% yoy change	7%	7%	5%	3%	2%	0%	-1%	-2%	-4%	-4%	-5%	-5%	-4%	-3%	-2%	-2%

Source: CPCA, CAAM, Goldman Sachs Global Investment Research

Buy BYD, Leapmotor and XPeng on domestic recovery and overseas upside potential

Among our coverage companies, we believe **BYD (Buy)**, **Leapmotor (Buy)** and **XPeng (Buy)** are better positioned to benefit from a sequential acceleration in domestic sales, as well as accelerating overseas momentum i.e. new export model pipelines and sales network expansion, given their greater overseas exposure.

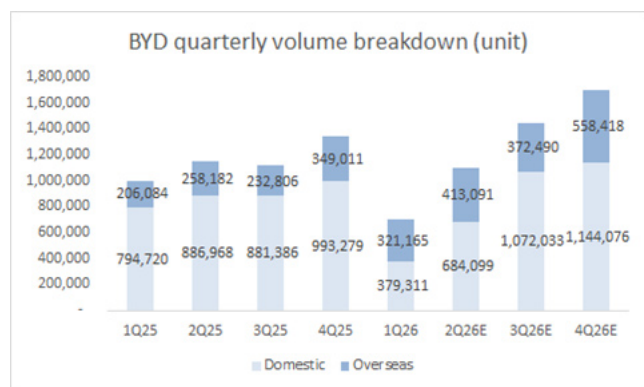
BYD (002594.SZ, 1211.HK; Buy) - Domestic recovery set in motion with overseas acceleration

Domestic recovery set in motion: Domestically, we believe BYD's retail sales recovery has been set in motion, as the company launches new models with **technology innovation** (e.g. 2nd generation blade battery + flash charging ecosystem) to enhance its competitive strengths in China (see our [report](#)), as well as **most affordable urban NOA model** (Rmb78.8k) and 1-year comprehensive safety liability guarantee for its urban NOA (see our [report](#)).

For flash-charging capabilities, we believe BYD is now building a comprehensive flash-charging ecosystem from battery, charging, and storage to models, to effectively strengthen its competitive moat, making it difficult for peers to catch up, at least in the short term. For intelligent development, BYD announced that God's Eye B (featuring urban NOA) is now available for all models (package priced at Rmb12k), which effectively makes the entry model price Rmb78.8k, the most affordable in the China market at present; BYD also unveiled its first in-house 4-nm smart driving chip Xuanji A3, which could potentially lower component cost and improve profit levels.

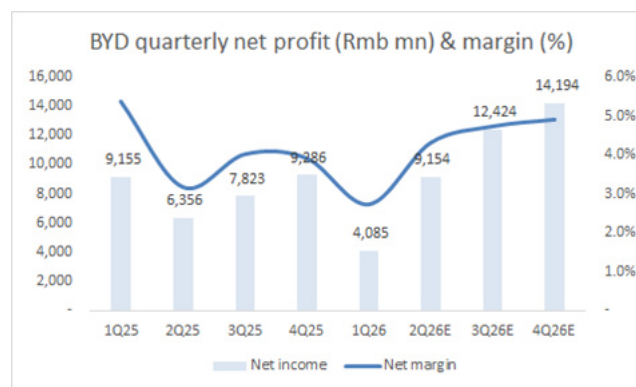
As evidenced by **recent strong order intake** (e.g. 100k pre-sales orders for Da Tang; 30k orders for Yuan Plus in the first week of facelift launch) and **retail numbers** (182k units of domestic sales in Apr, improving NEV market share to 21.4% in April from 15.8% in Jan), we believe BYD's domestic sales momentum should continue, demonstrating that a recovery has been set in motion, at least in the following months.

Exhibit 19: BYD quarterly volume breakdown



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 20: BYD quarterly net profit & margin



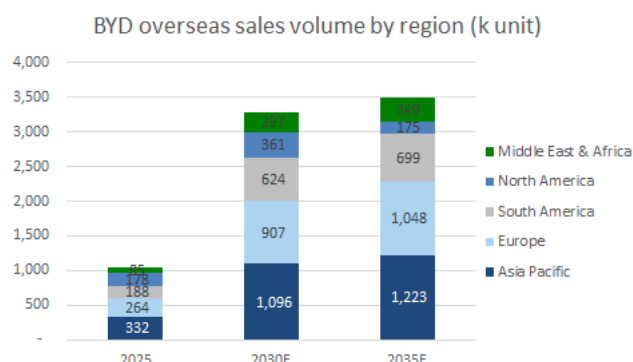
Source: Goldman Sachs Global Investment Research

Overseas market to become a major growth driver: We expect the overseas market to become a key growth driver over the next decade for the company and model BYD's overseas (ex-US) sales volume at **1.7mn-3.5mn** in 2026E-2035E. We forecast a **30% earnings CAGR** over 2026E-2028E, with **overseas profit contribution to increase from 21% in 2024 to 81% by 2028E**, accounting for more than half of our valuation. Key

drivers of overseas growth:

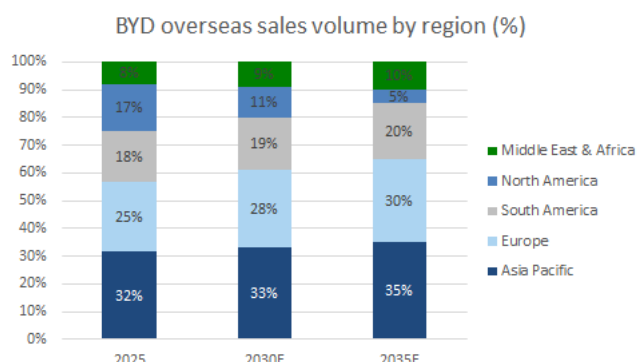
1. **NEV penetration ramp into mass-adoption phase supported by increasing model supply:** Currently we see NEV penetration in key overseas markets as around 4 years behind China (i.e. 4Q21 level) on average at 22%. This is around the starting point of mass-adoption that we observed in China and **we expect the overseas markets to follow China's >10% penetration increase trajectory (i.e. 2022-2024) in the upcoming years.** Such mass-adoption should also be supported by increasing new model supply offering new features and cost competitiveness vs. ICE.
2. **BYD product competitiveness driving market share gain:** Based on our product comp analysis, BYD's models are highly competitive in key aspects including price, range, and size. Going forward, with a comprehensive portfolio of models readily developed in the domestic market, ongoing R&D investment, and expansion of sales network, **we believe BYD is well positioned to take top volume market share among global NEV companies.**

Exhibit 21: We expect BYD's overseas sales volume to be around 1mn/3.3mn/3.5mn in 2025/2030E/2035E...



Source: IHS, MarkLines, Company data, Goldman Sachs Global Investment Research

Exhibit 22: ...with Asia Pacific/Europe/Other regions contributing about 1/3 of the volume each



Source: IHS, MarkLines, Company data, Goldman Sachs Global Investment Research

Exhibit 23: BYD financial summary

Profit model (Rmb mn)	12/25	12/26E	12/27E	12/28E	Balance sheet (Rmb mn)	12/25	12/26E	12/27E	12/28E
Total revenue	803,965.0	914,606.3	1,026,170.7	1,132,220.7	Cash & equivalents	129,957.3	185,456.4	237,604.2	315,818.7
Cost of goods sold	(661,305.2)	(747,670.7)	(845,935.1)	(925,185.2)	Accounts receivable	38,169.8	42,839.0	47,409.8	51,586.9
SG&A	(46,384.5)	(54,876.4)	(55,413.2)	(55,478.8)	Inventory	138,420.6	153,138.8	169,464.6	181,183.7
R&D	(57,978.1)	(64,022.4)	(69,779.6)	(75,858.8)	Other current assets	64,919.9	64,919.9	64,919.9	64,919.9
Other operating profit/(expense)	(13,580.5)	(14,176.4)	(15,905.6)	(17,549.4)	Total current assets	371,467.6	446,354.2	519,398.5	613,509.2
EBITDA	102,587.8	123,963.4	141,797.9	175,281.6	Net PP&E	292,775.9	281,548.7	272,395.8	258,646.3
Depreciation & amortization	(77,871.2)	(90,103.1)	(102,660.8)	(117,133.1)	Net intangibles	51,884.1	46,061.3	40,238.4	34,415.6
EBIT	24,716.6	33,860.3	39,137.1	58,148.5	Total investments	21,839.9	25,089.7	28,735.8	32,758.8
Interest income	2,437.0	2,989.0	4,265.5	5,464.9	Other long-term assets	145,762.3	170,521.6	185,153.6	195,029.3
Interest expense	(2,551.7)	(4,454.9)	(4,912.8)	(4,912.8)	Total assets	883,729.9	969,575.4	1,045,922.2	1,134,359.2
Income/(loss) from uncons. subs.	1,007.2	1,145.8	1,285.6	1,418.5	Accounts payable	209,206.3	236,432.2	267,397.2	292,329.0
Others	14,143.9	14,860.0	19,455.4	21,466.0	Short-term loans	44,796.7	70,247.2	70,247.2	70,247.2
Pretax profits	39,753.0	48,400.2	59,230.9	81,585.1	Other current liabilities	214,448.4	199,264.9	197,272.3	195,299.6
Income tax	(5,992.3)	(7,260.0)	(8,884.6)	(12,237.8)	Total current liabilities	468,451.4	505,944.4	534,916.7	557,875.7
Minorities	(1,141.7)	(1,283.3)	(1,416.9)	(1,746.0)	Long-term debt	65,703.5	65,568.5	65,568.5	65,568.5
					Other long-term liabilities	91,035.9	101,647.0	102,663.5	103,690.1
Net income pre-preferred	32,619.0	39,856.9	48,929.3	67,601.4	Total long-term liabilities	156,739.3	167,215.6	168,232.1	169,258.7
Preferred dividends					Total liabilities	625,190.7	673,159.9	703,148.7	727,134.4
Net income (pre-exceptionals)	32,619.0	39,856.9	48,929.3	67,601.4	Preferred shares				
Post tax exceptionals					Total common equity	246,274.6	282,867.6	327,808.7	390,514.0
Net income	32,619.0	39,856.9	48,929.3	67,601.4	Minority interest	12,264.6	13,547.9	14,964.8	16,710.8
					Total liabilities & equity	883,729.9	969,575.4	1,045,922.2	1,134,359.2
EPS (basic, pre-except) (Rmb)	3.6	4.4	5.4	7.4	BVPS (Rmb)	27.0	31.0	36.0	42.8
EPS (basic, post-except) (Rmb)	3.6	4.4	5.4	7.4					
EPS (diluted, post-except) (Rmb)	3.6	4.4	5.4	7.4					
DPS (Rmb)	0.4	0.4	0.5	0.7					
Dividend payout ratio (%)	10%	10%	10%	10%					
Free cash flow yield (%)	-10%	5%	9%	13%					
Growth & margins (%)	12/25	12/26E	12/27E	12/28E	Ratios	12/25	12/26E	12/27E	12/28E
Sales growth	3%	14%	12%	10%	CROCI (%)	32%	27%	27%	28%
EBITDA growth	-2%	21%	14%	24%	ROE (%)	15%	15%	16%	19%
EBIT growth	-39%	37%	16%	49%	ROA (%)	4%	4%	5%	6%
Net income growth	-19%	22%	23%	38%	Inventory days	70.2	71.2	69.6	69.2
EPS growth	-22%	22%	23%	38%	Receivables days	23.1	16.2	16.1	16.0
Gross margin	17.7%	18.3%	17.6%	18.3%	Payable days	125.1	108.8	108.7	110.4
EBITDA margin	12.8%	13.6%	13.8%	15.5%	Net debt/equity (%)	-8%	-17%	-30%	-44%
EBIT margin	3.1%	3.7%	3.8%	5.1%	Interest cover - EBIT (X)	215.5	23.1	60.5	
Cash flow statement (Rmb mn)	12/25	12/26E	12/27E	12/28E	Valuation	12/25	12/26E	12/27E	12/28E
Net income pre-preferred dividend	32,619.0	39,856.9	48,929.3	67,601.4	P/E basic (X)	29.4	15.5	12.6	9.1
D&A add-back	77,871.2	90,103.1	102,660.8	117,133.1	P/B (X)	3.9	2.2	1.9	1.6
Minorities interests add-back	1,141.7	1,283.3	1,416.9	1,746.0	EV/EBITDA (X)	9.2	4.6	3.6	2.5
Net (inc)/dec working capital	(48,770.3)	7,838.5	10,068.4	9,035.6	EV/GCI (X)	2.2	1.1	0.9	0.6
Other operating cash flow	(3,726.1)	(7,851.8)	(4,622.3)	(4,969.0)	Dividend yield (%)	0.3%	0.6%	0.8%	1.1%
Cash flow from operations	59,135.5	131,229.9	158,453.1	190,547.0					
Capital expenditures	(156,807.9)	(97,812.2)	(102,317.1)	(107,436.4)					
Acquisitions									
Divestitures	1,438.1								
Others	(42,093.4)	29.8	0.0	0.0					
Cash flow from investments	(197,463.1)	(97,782.4)	(102,317.1)	(107,436.4)					
Dividends paid (common & pref)	(14,563.5)	(3,264.0)	(3,988.2)	(4,896.0)					
Inc/(dec) in debt	84,783.4	25,315.6							
Common stock issuance	40,074.8								
Other financing cash flows	(5,828.5)								
Cash flow from financing	104,466.2	22,051.6	(3,988.2)	(4,896.0)					
Total cash flow	(33,861.3)	55,499.1	52,147.8	78,214.5					

Source: Company data, Goldman Sachs Global Investment Research

Leapmotor (9863.HK; Buy) – Domestic growth acceleration with overseas volume upside

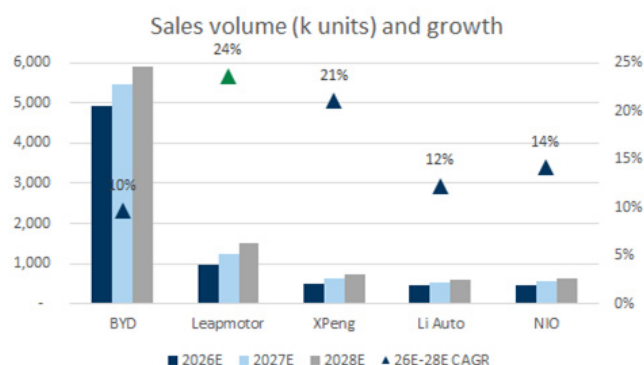
See our initiation report: Domestic growth acceleration with overseas volume upside, valuation discount unwarranted; Initiate at Buy

We expect Leapmotor, a leading pure NEV player with 5.1% market share in China (5M26) per CPCA, to execute a series of competitive new model launches with smooth production ramp-up, that should drive **continued growth acceleration in the domestic market over the next three quarters** (Exhibit 26); at the same time, we see **60% upside to the company's 2026 overseas target sales volume** of 125k units (implying +108% yoy) at the mid-point (i.e. GSe 200k units), supported by strong overseas retail sales which were up +554% yoy during 1Q26 (Exhibit 28). Overall, **we forecast Leapmotor to deliver one of the fastest revenue/earnings CAGRs (2025-27E) at 48%/143% among our China Mobility Tech coverage, yet the stock is currently trading at a c.60% discount to peers on both P/E and P/S** (Exhibit 29). We are Buy rated on Leapmotor, with a 12-m DCF-based TP of HK\$50. Catalysts include new model launches, monthly delivery ramp-up and export acceleration to fulfill retail-end demand. On the other hand, risks of worsening domestic market demand, cost inflation, and uncertainty overseas could exert pressure on volume/margins and cash flow.

Where we are different from consensus: Our 2026E-28E net income estimates are 7%-12% above the Visible Alpha consensus, mainly driven by 3%-7% higher volume estimates. Our higher volume assumptions mainly come from overseas markets, where Leapmotor models rank Top3 based on our product comparison framework, and we expect strong retail-end demand to drive further acceleration in the company's monthly export growth.

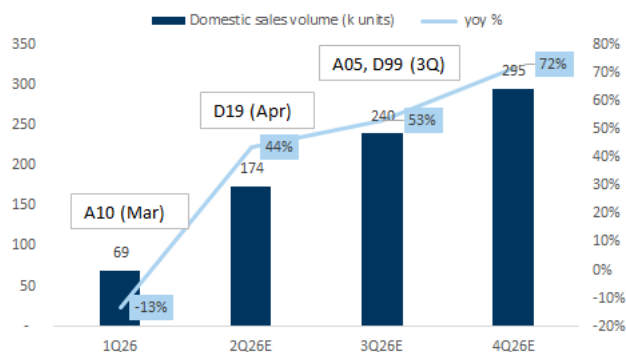
Financials & Risks: We forecast a 36% revenue CAGR (2025-28E), mainly driven by 37% vehicle volume growth from 583k to 1,496k, while we expect continued pricing pressure in China's EV market to result in further ASP reduction. We forecast a 38% gross profit CAGR (2025-28E) with gross margin improving from 14.5% to 14.9% mainly driven by improving economies of scale despite increasing cost pressure. The company turned free cash flow positive in 2024 and net profit break-even in 2025 with Rmb11.5bn net cash at end-2025, and we expect ongoing positive FCF generation with net margin improving to 5.1% in 2028E. Key risks: Industry demand, cost inflation, overseas uncertainty.

Exhibit 24: We expect Leapmotor to deliver one of the highest volume growth among covered peers...



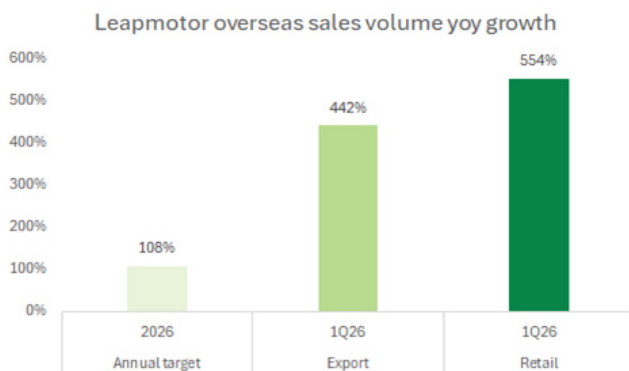
Source: Goldman Sachs Global Investment Research

Exhibit 26: Driving continued acceleration in domestic sales volume growth over the next 3 quarters



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 28: We see 60% upside to mgmt's 2026 overseas sales target driven by strong retail-end demand



Source: Company data, CAAM, IHS

Exhibit 25: ...supported by a strong and steady new model pipeline

NEV OEM new model pipeline	2024	2025	2026E	SUM
Leapmotor	4	3	6	13
XPeng	3	1	9	13
AITO	2	3	3	8
Nio	1	3	2	6
Li Auto	2	2	1	5

Source: Company data

Exhibit 27: Partnership with Stellantis has enabled Leapmotor to quickly expand its overseas presence



Source: Company data

Exhibit 29: Shares are under-valued on both P/S and P/E given its industry-leading growth rate

Company	P/S		P/E		Rev	EPS
	26E	27E	26E	27E	25-27E CAGR	25-27E CAGR
OEM						
BYD - A	1.0x	0.9x	20.8x	16.9x	13%	22%
BYD - H	0.8x	0.7x	16.9x	13.8x	13%	22%
Xpeng - H	1.1x	0.9x	NM	44.1x	17%	135%
Leapmotor - H	0.4x	0.3x	13.4x	7.2x	48%	143%
NIO - H	0.6x	0.5x	55.4x	19.6x	36%	16%
Li Auto - H	0.9x	0.8x	77.9x	23.4x	10%	33%
Average	0.8x	0.7x	36.9x	20.8x	23%	62%

Market price as of Jun 15, 2026 close.

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 30: Leapmotor financial summary

Profit model (Rmb mn)	12/25	12/26E	12/27E	12/28E	Balance sheet (Rmb mn)	12/25	12/26E	12/27E	12/28E
Total revenue	64,731.9	109,427.9	142,397.0	164,500.1	Cash & equivalents	14,430.8	16,302.0	20,373.8	25,061.0
Cost of goods sold	(55,319.9)	(94,314.1)	(121,703.7)	(139,977.2)	Accounts receivable	5,210.0	8,807.4	11,461.0	13,240.0
SG&A	(5,595.3)	(7,003.4)	(8,828.6)	(10,034.5)	Inventory	4,548.5	7,754.7	10,006.7	11,509.1
R&D	(4,292.4)	(6,530.6)	(7,831.8)	(8,883.0)	Other current assets	15,472.4	15,472.4	15,472.4	15,472.4
Other operating profit/(expense)	653.1	1,104.1	1,436.8	1,659.8	Total current assets	39,661.7	48,336.5	57,313.8	65,282.5
EBITDA	1,353.5	4,674.1	8,256.5	10,769.6	Net PP&E	10,243.1	16,575.4	19,100.0	22,570.1
Depreciation & amortization	(1,176.2)	(1,990.2)	(2,786.9)	(3,504.4)	Net intangibles	462.5	422.9	383.3	343.7
EBIT	177.4	2,684.0	5,469.6	7,265.2	Total investments	231.4	518.1	1,264.1	2,381.0
Interest income	399.7	536.1	605.6	756.9	Other long-term assets	12,219.5	15,221.5	15,217.0	16,046.3
Interest expense	(105.9)	(117.6)	(117.6)	(117.6)	Total assets	62,818.1	81,074.4	93,278.2	106,623.6
Income/(loss) from uncons. subs.	67.3	286.8	745.9	1,116.9	Accounts payable	41,471.6	56,846.9	63,352.6	69,029.9
Others	0.0	0.0	0.0	0.0	Short-term loans	653.5	653.5	653.5	653.5
Pretax profits	538.4	3,389.3	6,703.6	9,021.4	Other current liabilities	467.0	467.0	467.0	467.0
Income tax	0.0	(508.4)	(1,005.5)	(1,353.2)	Total current liabilities	42,829.3	58,204.6	64,710.3	70,387.6
Minorities					Long-term debt	2,306.7	2,306.7	2,306.7	2,306.7
Net income pre-preferred	538.4	2,880.9	5,698.1	7,668.2	Other long-term liabilities	2,316.2	2,316.2	2,316.2	2,316.2
Preferred dividends					Total long-term liabilities	5,871.1	5,871.1	5,871.1	5,871.1
Net income (pre-exceptionals)	1,077.3	3,427.5	6,338.2	8,333.8	Total liabilities	48,700.3	64,075.7	70,581.4	76,258.6
Post tax exceptionals	538.9	546.6	640.1	665.6	Preferred shares				
Net income	1,077.3	3,427.5	6,338.2	8,333.8	Total common equity	14,117.8	16,998.7	22,696.8	30,365.0
EPS (basic, pre-except) (Rmb)	0.8	2.5	4.6	6.0	Minority interest				
EPS (basic, post-except) (Rmb)	0.8	2.5	4.6	6.0	Total liabilities & equity	62,818.1	81,074.4	93,278.2	106,623.6
EPS (diluted, post-except) (Rmb)	0.8	2.5	4.6	6.0	BVPS (Rmb)	10.2	12.2	16.3	21.9
DPS (Rmb)									
Dividend payout ratio (%)	0%	0%	0%	0%	Ratios	12/25	12/26E	12/27E	12/28E
Free cash flow yield (%)	12%	4%	10%	11%	CROCI (%)				227%
Growth & margins (%)	12/25	12/26E	12/27E	12/28E	ROE (%)	9%	22%	32%	31%
Sales growth	101%	69%	30%	16%	ROA (%)	2%	5%	7%	8%
EBITDA growth	154%	245%	77%	30%	Inventory days	21.7	23.8	26.6	28.1
EBIT growth	106%		104%	33%	Receivables days	20.3	23.4	26.0	27.4
Net income growth	146%	218%	85%	31%	Payable days	213.4	190.2	180.2	172.6
EPS growth	144%	218%	85%	31%	Net debt/equity (%)	-71%	-70%	-70%	-68%
Gross margin	14.5%	13.8%	14.5%	14.9%	Interest cover - EBIT (X)				
EBITDA margin	2.1%	4.3%	5.8%	6.5%	Valuation	12/25	12/26E	12/27E	12/28E
EBIT margin	0.3%	2.5%	3.8%	4.4%	P/E basic (X)	62.9	12.2	6.6	5.0
Cash flow statement (Rmb mn)	12/25	12/26E	12/27E	12/28E	P/B (X)	4.8	2.5	1.8	1.4
Net income pre-preferred dividend	538.4	2,880.9	5,698.1	7,668.2	EV/EBITDA (X)	42.7	6.4	3.1	2.0
D&A add-back	1,176.2	1,990.2	2,786.9	3,504.4	EV/GCI (X)			25.6	3.2
Minorities interests add-back					Dividend yield (%)	0.0%	0.0%	0.0%	0.0%
Net (inc)/dec working capital	11,589.5	8,571.7	1,600.2	2,395.8					
Other operating cash flow	(681.2)	(3,288.8)	(741.5)	(1,946.2)					
Cash flow from operations	12,623.0	10,154.0	9,343.7	11,622.2					
Capital expenditures	(4,745.7)	(8,282.8)	(5,271.9)	(6,935.0)					
Acquisitions	(6,698.1)								
Divestitures									
Others	357.8								
Cash flow from investments	(11,086.1)	(8,282.8)	(5,271.9)	(6,935.0)					
Dividends paid (common & pref)									
Inc/(dec) in debt	586.3								
Common stock issuance	2,600.0								
Other financing cash flows	(116.5)								
Cash flow from financing	3,069.8	0.0	0.0	0.0					
Total cash flow	4,606.6	1,871.2	4,071.8	4,687.2					

Source: Company data, Goldman Sachs Global Investment Research

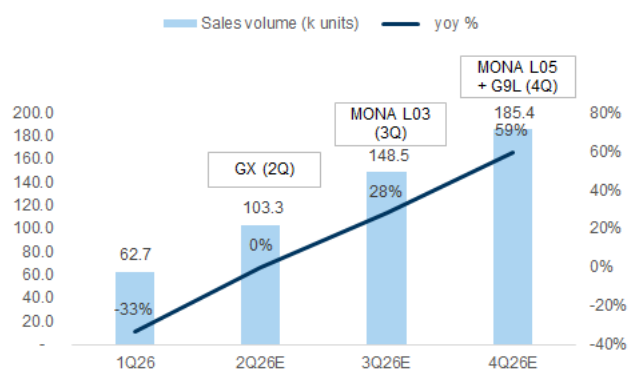
XPeng (XPEV, 9868.HK; Buy) - New model cycle to drive growth acceleration both domestic and overseas

We believe XPeng's domestic new model cycle will start to drive an acceleration in volume growth over the following three quarters:

- 2Q26E:** We expect the **GX SUV** launch in May to help volume growth recover to the same level as 2Q25 yoy and +65% qoq. On May 20, XPeng launched its new flagship 6-seater SUV model GX, which received close to 25k non-refundable orders within 12 hours per the company. Based on our product comps analysis framework on recently launched 6-seater SUV models ([Exhibit 33](#)), GX (esp. EREV version) ranks among the top 3 out of 16 models, with balanced scores across price, range, and size.
- 3Q26E:** We believe the **Mona L03 SUV** launch in July could further propel 3Q26 volume growth to +28% yoy and +44% qoq. We believe Mona has established itself as a strong brand in the mass market segment, with differentiated positioning in smart features as well as modern design, with **Mona M03 ranking No.1** for sales volume among Rmb100-150k NEV sedans ([Exhibit 34](#)). Based on our product comp analysis among Rmb100k-150k top selling NEV SUVs, **Mona L03 BEV/EREV** ranks among the top models (esp. EREV version ranking No.1), with competitive strengths in range, size and autopilot ([Exhibit 35](#));
- 4Q26E:** Based on trend analysis of Mona L03 and GX, we expect **Mona L05 SUV** and **G9L SUV** to eventually bring average monthly volume to over 60k (vs. 20k in 1Q26), translating to 59% yoy volume growth.

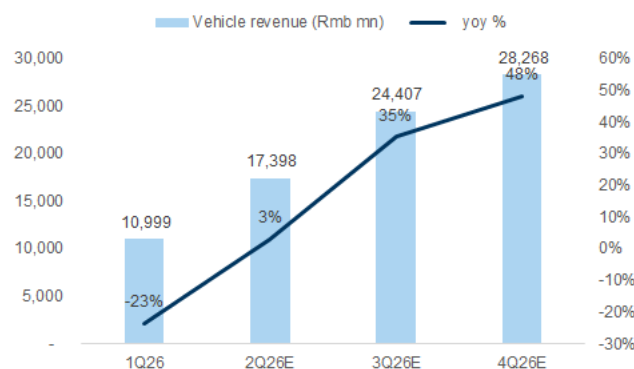
Upcoming catalysts: (1) Weekly order and monthly sales trends; (2) Mona L03 pre-launch and official launch events in June/July; (3) Humanoid robot showcase in 3Q26; (4) Robotaxi pilot passenger operations launch in 3Q26; (5) Mona L05 and G9L launch in 4Q26.

Exhibit 31: We expect the new model cycle to drive acceleration...



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 32: ... in volume as well as revenue growth for XPeng



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 33: Product comparison for large 6-seater SUVs launched recently

OEM Model	Entry price Rmb200-300k							Rmb300-400k				Rmb400k+				
	Geely Galaxy M9 PHEV	Leapmotor Leap D19 EREV	Leapmotor Leap D19 EV	BYD Da Tang EV	NIO ONVO L90 EV	XPeng GX EV	XPeng GX EREV	SAIC VW VW ID.ERA 9X EREV	SAIC IM LS9 EREV	Great Wall V9X	BYD Denza N9 PHEV	NIO Nio ES8 EV	Li Auto Li L9 EREV	Geely Zeekr 9X PHEV	Seres Alto M9 EREV	NIO ES9 EV
Model launch date (latest facelift entry level)	Apr-26 SUV	Apr-26 SUV	Apr-26 SUV	2026E SUV	Apr-26 SUV	May-26 SUV	May-26 SUV	Apr-26 SUV	Nov-25 SUV	May-26 SUV	May-26 SUV	Sep-25 SUV	May-26 SUV	Sep-25 SUV	Mar-26 SUV	May-26 SUV
Segment	C	D	D	D	D	D	D	D	D	D	D	D	D	D	D	D
Seat	6	6/7	6/7	7	6/7	6	6	6	6	6	6	6/7	6	6	5/6	6
Powertrain	PHEV	EREV	BEV	BEV	BEV	BEV	EREV	EREV	EREV	PHEV	PHEV	BEV	EREV	PHEV	EREV	BEV
Entry price (Rmb k)	183.8	219.8	239.8	250	265.8	279.8	289.8	309.8	332.8	349.8	389.8	406.8	459.8	465.9	469.8	528
Max driving range (km)	1,300	1,300	620	800	600	665	1585	1,611	1,454	1,656	1,520	635	1,412	1,200	1,474	620
Wheelbase (mm)	3,030	3,110	3,110	3,130	3,110	3,115	3,115	3,070	3,160	3,150	3,125	3,130	3,125	3,169	3,110	3,250
0-100km/h acceleration time (s)	4.5	6.0	4.9		5.9		63.3	5.6	4.9	4.9	3.7	3.97	5.2	3.9	4.9	4.3
Battery size (kWh)	41.5	63.7	99.6	105.8	85.0	91.9	63.3	51.1	52.0	53.6	75.3	102.0	72.7	55.0	52.0	102.0
Charging speed (kWh/min)	1.4	2.1	3.3		2.4	5.4	3.7	1.9	1.9	1.8	7.3		4.9	3.7	1.0	
Continuous voice command	Yes	Yes	Yes		Yes	Yes	Yes	Yes	Yes	Yes	Yes	Optional	Yes	Yes	Yes	Yes
Software Highway autopilot	Standard	Standard	Standard		Optional	Standard	Standard	Standard	Optional	Standard	Standard	Optional	Standard	Standard	Standard	Optional
Urban autopilot	Standard	Standard	Standard		Optional	Standard	Standard	Standard	Optional	Standard	Standard	Optional	Standard	Standard	Standard	Optional
Price score	16	15	14	13	12	11	10	9	8	7	6	5	4	3	2	1
Range score	8	8	2	6	1	5	14	15	11	16	13	4	10	7	12	2
Size score	1	3	3	11	3	7	7	2	14	13	9	11	9	15	3	16
Sub-total score	25	26	19	30	16	23	31	26	33	36	28	20	23	25	17	19
Average monthly sales volume (LTM)	6,398	2,511	1,944	5,734	11,722			2,326	1,990			8,578	2,779	6,613	7,286	
Peak monthly sales volume (LTM)	10,639	2,511	1,944	11,722				2,326	4,768			22,258	14,913	10,060	15,945	
Lifetime sales volume	57,586	2,511	1,944	51,610				2,326	11,938			173,526	288,512	52,907	257,069	
Order	Non-refundable orders of 23k in first 24 hours			Pre-sales orders of 100k+ as of May			Non-refundable orders of 25k in first 12 hours			Non-refundable orders of 5k in first 25 mins			Non-refundable orders of 10k in first 13 mins			

Source: Autohome, Data compiled by Goldman Sachs Global Investment Research

Exhibit 34: MONA M03 ranks No.1 among China's best-selling NEV sedans with price range of Rmb100-150k

Top 10 best-selling sedans (MSRP Rmb100-150k)											
OEM	XPeng	Geely	BYD	BYD	Chery	NIO	ChangAn	BYD	Dongfeng	GAC Aion	
Model	XpengMONA M03 EV	Xingyao 8 PHEV	Qin L EV	Seal 06 EV	Fulwin A9L PHEV	Firefly EV	Nevo A06 EREV	Destroyer 05 DM	Nissan N7 EV	Aion S Plus EV	
Model launch date (latest facelift entry level)	Apr-26	Mar-26	Mar-25	Jun-25	Jul-25	Apr-26	Nov-25	May-25	Apr-26	Jul-24	
Body type	Sedan	Sedan	Sedan	Sedan	Sedan	Sedan	Sedan	Sedan	Sedan	Sedan	
Segment	A	C	B	B	C	A0	C	B	C	A	
Seat	5	5	5	5	5	5	5	5	5	5	
Powertrain	BEV	PHEV	BEV	BEV	PHEV	BEV	EREV	PHEV	BEV	BEV	
Entry price (Rmb k)	119.8	142.8	119.8	109.8	149.9	119.8	119.9	101.8	148.9	118.8	
Max driving range (km)	540	1,500	470	470	2,000	420	2,120	1,200	635	505	
Wheelbase (mm)	2,815	2,928	2,820	2,820	3,000	2,615	2,922	2,718	2,915	2,760	
0-100km/h acceleration time (s)	7.8		4.1	4.1	7.9	8.1		7.9		8.0	
Battery size (kWh)	51.8	28.3	46.1	46.1	33.7	42.1	28.4	8.3	73.0	53.7	
Charging speed (kWh/min)	1.0	0.9	1.0	1.0	1.1	1.0	0.9		2.4	0.9	
Continuous voice command	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	
Software Highway autopilot	Standard	None	Standard	Standard	None	Standard	Standard	None	None	None	
Urban autopilot	Standard	None	None	None	None	None	None	None	None	None	
Price score	5	3	5	9	1	5	4	10	2	8	
Range score	5	8	2	2	9	1	10	7	6	4	
Size score	4	9	5	5	10	1	8	2	7	3	
Autopilot score	4	0	2	2	0	2	2	0	0	0	
Sub-total score	18	20	14	18	20	9	24	19	15	15	
Average monthly sales volume (L TM)	12,333	7,103	6,497	6,468	5,930	4,571	4,283	4,276	4,108	3,749	
Peak monthly sales volume (LTM)	16,593	10,191	9,648	10,163	10,334	6,695	10,072	24,690	10,148	26,392	
Lifetime sales volume	257,917	86,766	87,338	71,144	59,300	55,086	34,262	449,718	49,964	526,719	

Source: Autohome, CPCA

Exhibit 35: Product comparison for NEV SUVs with price range of Rmb100-150k

Top 10 best-selling SUVs (MSRP Rmb100-150k)												
OEM	BYD	BYD	BYD	Leapmotor	ChangAn	Geely	BYD	'D Sealion 05	GAC	ChangAn	XPeng	XPeng
Model	Song Pro DM	BYD Sealion 06 EV	Song L DM	Leap C10 EV	Deepal S05 EV	Galaxy E5 EV	Yuan PLUS EV	BYD Sealion 05 EV	Toyota bZ3X EV	Nevo Q07 PHEV	MONA L03 EV	MONA L03 EREV
Model launch date (latest facelift entry level)	Sep-24	May-26	Oct-25	May-25	Aug-25	Aug-24	Mar-24	Mar-25	Mar-25	Apr-25	Jul-26	Jul-26
Body type	SUV	SUV	SUV	SUV	SUV	SUV	SUV	SUV	SUV	SUV	SUV	SUV
Segment	A	B	B	B	A	A	A	A0	A	B	A	A
Seat	5	5	5	5	5	5	5	5	5	5	5	5
Powertrain	PHEV	BEV	PHEV	BEV	BEV	BEV	BEV	BEV	BEV	PHEV	BEV	EREV
Entry price (Rmb k)	112.8	129.9	139.8	122.8	119.9	109.8	119.8	117.8	109.8	129.8	129.8	129.8
Max driving range (km)	1,360	205	1,550	530	520	440	430	475	430	1,345	540	1,418
Wheelbase (mm)	2,712	2,820	2,782	2,825	2,880	2,750	2,720	2,720	2,765	2,905	2,850	2,850
0-100km/h acceleration time (s)	8.5	7.8	7.5	7.3	6.3	6.9	7.3	7.6	3.7	7.4		
Battery size (kWh)	12.9	26.6	18.3	69.9	56.1	49.5	49.92	50.1	50.0	21.5		
Charging speed (kWh/min)			0.4	1.2	1.9	1.3	0.8	1.4	1.0	0.7		
Continuous voice command	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Software Highway autopilot	Standard	Standard	Standard	Standard	Standard	Standard	Standard	Standard	Standard	Standard	Standard	Standard
Urban autopilot	Optional	Optional	Optional	Optional	Optional	Optional	Optional	Optional	None	None	Standard	Standard
Price score	10	2	1	6	7	11	8	9	11	3	3	3
Range score	10	1	12	7	6	4	2	5	2	9	8	11
Size score	1	7	6	8	11	4	2	2	5	12	9	9
Autopilot score	3	3	3	3	3	3	3	3	2	2	4	4
Sub-total score	24	13	22	24	27	22	15	19	20	26	24	27
Average monthly sales volume (L TM)	13,185	12,741	9,512	9,269	8,533	8,267	8,259	7,828	7,307	6,418		
Peak monthly sales volume (L TM)	27,812	20,956	25,198	14,026	15,211	18,962	30,799	14,075	10,027	10,192		
Lifetime sales volume	700,906	127,410	264,328	189,675	142,753	216,747	903,510	103,747	96,899	80,138		

We assume MONA L03's entry-level MSRP is Rmb10k higher than MONA M03, with assumptions that max driving range for BEV version is same as MONA M03 (540km) and EREV version has average driving range to its peers (1,418km on average)

Source: Autohome, CPCA, Goldman Sachs Global Investment Research

Apart from domestic improvement, we expect more affordable models to launch

overseas this year and overseas revenue to accelerate, contributing 20% of total revenue for XPeng in 2026E, supported by 1) strong model cycle and 2) localization strategies. 1) Strong model cycle to meeting overseas demand (esp. for more affordable vehicles) - The company plans to introduce four SUV models (GX, MONA L03, MONA L05, G9L SUV) in 2H26 for global markets, and we believe two MONA SUVs are well placed to meet/exceed overseas demand on their relatively smaller size and more affordable prices. 2) Localization strategies - The company has been accelerating its localization strategies by leveraging overseas manufacturing facilities from partners (i.e. Austria, Indonesia, and Malaysia). Beyond production, the company is integrating its global operations through a network of R&D centers (e.g. Munich) to tailor intelligent driving and AI technologies to specific regional needs, as well as deploying independent supply chain teams and dedicated sales networks in Europe and ASEAN to enhance operational efficiency and responsiveness to local consumers. Management expects 50% of revenue and profit to come from overseas markets within the next five years.

In addition to NEVs, XPeng is also making solid progress in transforming itself into a physical AI company. 2026 will be a year of volume production for a number of emerging businesses in our view: **(1) autonomous driving** based on VLA 2.0 model to develop generalization capability, targeting to release VLA 2.0 Version 2 in 3Q26, which operates without HD maps and which could substantially elevate model performance limits, **(2) robotaxi** trial operation on GX's L4 full redundancy hardware and software to validate the Robotaxi business model in China, **(3) humanoid robots** to start volume production in 2026, expecting revenues from humanoid robot hardware and AI models to emerge as a key driver for revenue size of billions of Rmb starting in 2027 per the company.

Exhibit 36: XPeng financial summary

Profit model (Rmb mn)	12/25	12/26E	12/27E	12/28E	Balance sheet (Rmb mn)	12/25	12/26E	12/27E	12/28E
Total revenue	76,719.7	91,923.4	104,725.9	117,058.4	Cash & equivalents	41,323.8	38,658.9	39,263.7	45,279.0
Cost of goods sold	(62,246.8)	(74,350.9)	(84,254.5)	(93,583.7)	Accounts receivable	2,099.1	2,515.1	2,865.4	3,202.8
SG&A	(9,398.5)	(10,296.2)	(9,579.4)	(10,151.5)	Inventory	10,380.7	9,166.5	6,925.0	7,691.8
R&D	(9,490.0)	(12,000.0)	(12,000.0)	(12,000.0)	Other current assets	9,450.2	9,450.2	9,450.2	9,450.2
Other operating profit/(expense)	1,644.1	1,969.9	2,244.3	2,508.6	Total current assets	63,253.8	59,790.8	58,504.3	65,623.9
EBITDA	(323.5)	13.6	4,203.6	7,246.8	Net PP&E	13,527.2	13,964.2	14,710.1	15,480.8
Depreciation & amortization	(2,447.9)	(2,767.4)	(3,067.2)	(3,415.1)	Net intangibles	7,467.4	7,002.0	6,523.2	6,031.0
EBIT	(2,771.4)	(2,753.8)	1,136.4	3,831.8	Total investments	2,523.0	2,523.0	2,523.0	2,523.0
Interest income	1,163.2	1,234.4	1,154.8	1,172.9	Other long-term assets	16,391.1	17,453.8	18,049.2	18,408.5
Interest expense	(379.9)	(388.7)	(388.7)	(388.7)	Total assets	103,162.6	100,733.8	100,309.8	108,067.2
Income/(loss) from uncons. subs.					Accounts payable	37,164.5	36,666.2	34,625.1	38,459.1
Others	831.3	0.0	0.0	0.0	Short-term loans	6,120.0	6,120.0	6,120.0	6,120.0
Pretax profits	(1,156.8)	(1,908.1)	1,902.4	4,615.9	Other current liabilities	14,403.7	14,633.1	14,701.0	14,707.6
Income tax	(13.6)	(22.4)	(285.4)	(692.4)	Total current liabilities	58,113.3	57,615.1	55,574.0	59,408.0
Minorities					Long-term debt	6,588.9	6,588.9	6,588.9	6,588.9
Net income pre-preferred	(1,170.4)	(1,930.5)	1,617.0	3,923.5	Other long-term liabilities	3,845.2	6,584.0	7,107.0	7,157.7
Preferred dividends	30.9				Total long-term liabilities	14,680.7	14,680.7	14,680.7	14,680.7
Net income (pre-exceptionals)	(1,139.5)	(1,930.5)	1,617.0	3,923.5	Total liabilities	72,794.0	72,295.8	70,254.7	74,088.6
Post tax exceptionals	681.6	506.2	490.2	520.6	Preferred shares			0.0	0.0
Net income	(457.8)	(1,424.3)	2,107.3	4,444.1	Total common equity	30,368.6	28,438.1	30,055.1	33,978.6
EPS (basic, pre-except) (Rmb)	(1.2)	(2.0)	1.7	4.1	Minority interest				
EPS (basic, post-except) (Rmb)	(0.5)	(1.5)	2.2	4.6	Total liabilities & equity	103,162.6	100,733.8	100,309.8	108,067.2
EPS (diluted, post-except) (Rmb)	(0.5)	(1.5)	2.2	4.6	BVPS (Rmb)	31.4	29.4	31.1	35.1
DPS (Rmb)									
Dividend payout ratio (%)	0%	0%	0%	0%	Ratios	12/25	12/26E	12/27E	12/28E
Free cash flow yield (%)	4%	-3%	1%	7%	CROCI (%)	-8%	30%	85%	96%
Growth & margins (%)	12/25	12/26E	12/27E	12/28E	ROE (%)	-1%	-5%	7%	14%
Sales growth	88%	20%	14%	12%	ROA (%)	0%	-1%	2%	4%
EBITDA growth	93%	104%	30788%	72%	Inventory days	46.7	48.0	34.9	28.5
EBIT growth	58%	1%	141%	237%	Receivables days	10.9	9.2	9.4	9.5
Net income growth	92%	-211%	248%	111%	Payable days	176.7	181.2	154.4	142.5
EPS growth	92%	-206%	248%	111%	Net debt/equity (%)	-79%	-85%	-85%	-93%
Gross margin	18.9%	19.1%	19.5%	20.1%	Interest cover - EBIT (X)	3.5	3.3		
EBITDA margin	-0.4%	0.0%	4.0%	6.2%	Valuation	12/25	12/26E	12/27E	12/28E
EBIT margin	-3.6%	-3.0%	1.1%	3.3%	P/E basic (X)			41.5	19.7
Cash flow statement (Rmb mn)	12/25	12/26E	12/27E	12/28E	P/B (X)	4.5	3.1	2.9	2.6
Net income pre-preferred dividend	(1,170.4)	(1,930.5)	1,617.0	3,923.5	EV/EBITDA (X)			14.8	7.7
D&A add-back	2,447.9	2,767.4	3,067.2	3,415.1	EV/GCI (X)	63.3	15.9	8.4	6.7
Minorities interests add-back					Dividend yield (%)	0.0%	0.0%	0.0%	0.0%
Net (inc)/dec working capital	8,630.5	299.9	(149.8)	2,729.7					
Other operating cash flow	(1,649.5)								
Cash flow from operations	8,258.5	1,136.7	4,534.4	10,068.3					
Capital expenditures	(3,347.1)	(3,610.4)	(3,738.5)	(3,861.8)					
Acquisitions	(3,868.9)								
Divestitures									
Others	(118.5)	(191.2)	(191.2)	(191.2)					
Cash flow from investments	(7,334.5)	(3,801.6)	(3,929.6)	(4,053.0)					
Dividends paid (common & pref)									
Inc/(dec) in debt	576.6	0.0		0.0					
Common stock issuance									
Other financing cash flows	160.8								
Cash flow from financing	737.4	0.0	0.0	0.0					
Total cash flow	1,661.4	(2,664.9)	604.8	6,015.3					

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis**BYD**

BYD is a leading NEV maker both in China and globally. We believe the company is well-positioned both at home and abroad, capturing the largest mass-market demand

and building up premium brands in the domestic market. At the same time, BYD has tapped into the overseas market with compelling (highly competitive, innovative) products, which we expect could become a second growth driver for the company, contributing 92% of incremental vehicle sales volume in 2024-2028E and overseas profit contribution to increase from 21% in 2024 to 76% by 2028E. With a comprehensive product portfolio and strong in-house capabilities enabling continued vehicle technology innovation, we expect BYD to grow its total vehicle sales volume from 4.3mn in 2024 to 7.1mn in 2030E. BYD A/H shares are trading below their historical average 12m forward P/Es, which we view as attractive. We are Buy rated. Catalysts include strong sales, breakthrough in overseas markets, and quarterly results. Downside risks: (1) intensifying electric vehicle competition; (2) slower-than-expected overseas expansion progress; (3) lower-than-expected external battery sales.

Leapmotor

We are Buy rated on Leapmotor, a leading pure NEV player with 5.1% market share in China (5M26) per CPCA, as we expect the company to execute a series of competitive new model launches with smooth production ramp-up, that should drive continued growth acceleration in the domestic market over the next three quarters; at the same time, we see 60% upside to the company's 2026 overseas target sales volume of 125k units (implying +108% yoy) at the mid-point (i.e. GSe 200k units), supported by strong overseas retail sales which were +554% yoy during 1Q26. Overall, we forecast Leapmotor to deliver one of the fastest revenue/earnings CAGR (25-27E) at 48%/143% among our China Mobility Tech coverage, yet the stock is currently trading at a c.60% discount to peers on both P/E and P/S. We forecast a 36% revenue CAGR (25-28E), mainly driven by 37% vehicle volume growth from 583k to 1,496k, while we expect continued pricing pressure in China's EV market to result in further ASP reduction. We forecast a 38% gross profit CAGR (25-28E) with gross margin improving from 14.5% to 14.9% mainly driven by improving economies of scale despite increasing cost pressure. The company turned free cash flow positive in 2024 and net profit break-even in 2025 with Rmb11.5bn net cash at end-2025, and we expect ongoing positive FCF generation with net margin improving to 5.1% in 2028E. Catalysts include new model launches, monthly delivery ramp-up and export acceleration to fulfill retail-end demand. On the other hand, risks of worsened market demand, cost inflation, and uncertainty overseas could exert pressure on volume/margins and cash flow.

XPeng

XPeng is among the fastest-growing pure EV makers in China with a focus on intelligent vehicle features. Since 4Q24, XPeng has shown consistent improvement in its new and refreshed model launches with Mona M03 and P7+ sales volume ranking among the top 3 in their respective segments. XPeng has also stepped up its new model launch frequency with 10 launches over 2024-26, compared to only 1-2 new models each year from 2019-2023. XPeng will now introduce 10 new + refreshed models each year to better compete in the current highly dynamic market environment. In addition, XPeng is focusing more on overseas expansion with increasing product offerings (4 models in 2026) and localized production (Indonesia, Austria and Malaysia). We are Buy rated (ADR/H share), as we see the results of a series of efforts coming through the company's product launches and overseas expansion, leading to higher visibility for sustainable sales volume growth as well as profit margin improvement going forward. XPeng is currently trading in line with its historical average forward P/S multiple over the past 1

year which we view as attractive in light of its growth trajectory. Catalysts include upcoming product launches including the sales ramp-up from EREV models, as well as quarterly results.

Price Target Risks & Methodology

BYD (002594.SZ / 1211.HK, Buy): We are Buy rated with 12m DCF-based (WACC 10.8%, TGR 2.0%) TP of Rmb137/HK\$134 on the A/H shares (applying a 10% discount to the H-share). Downside risks: (1) Intensifying electric vehicle competition; (2) Slower-than-expected overseas expansion progress; (3) Lower-than-expected external battery sales.

1211.HK	12m Price Target: HK\$134	Price: HK\$80.85	Upside: 65.7%
002594.SZ	12m Price Target: Rmb137	Price: Rmb88.13	Upside: 55.5%

Buy		GS Forecast			
		12/25	12/26E	12/27E	12/28E
Market cap: Rmb803.5bn / \$118.8bn	Revenue (Rmb mn)	803,965.0	914,606.3	1,026,170.7	1,132,220.7
Enterprise value: Rmb753.9bn / \$111.5bn	EBITDA (Rmb mn)	102,587.8	123,963.4	141,797.9	175,281.6
3m ADTV :Rmb5.0bn/ \$731.5mn	EPS (Rmb)	3.58	4.37	5.37	7.41
China	P/E (X)	30.5	20.2	16.4	11.9
China Mobility Tech	P/B (X)	4.0	2.8	2.5	2.1
	Dividend yield (%)	0.3	0.5	0.6	0.8
M&A Rank: 3	N debt/EBITDA (ex lease,X)	(0.2)	(0.4)	(0.7)	(1.0)
Leases incl. in net debt & EV?: Yes	CROCI (%)	32.1	26.6	26.9	28.2
	FCF yield (%)	(9.8)	4.2	7.0	10.3
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	0.45	1.00	1.36	1.56

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 18 Jun 2026 close.

Leapmotor (9863.HK, Buy): Our 12-month target price of HK\$50/share is based on DCF methodology. Key downside risks: Weaker-than-expected China demand; Market share loss due to intensified competition; Cost pressure from raw materials; Uncertainties from collaboration with Stellantis; Policy uncertainties for overseas expansion (e.g. tariffs).

9863.HK	12m Price Target: HK\$50	Price: HK\$35.82	Upside: 39.6%
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Buy		GS Forecast			
		12/25	12/26E	12/27E	12/28E
Market cap: HK\$49.8bn / \$6.4bn	Revenue (Rmb mn)	64,731.9	109,427.9	142,397.0	164,500.1
Enterprise value: HK\$36.0bn / \$4.6bn	EBITDA (Rmb mn)	1,353.5	4,674.1	8,256.5	10,769.6
3m ADTV :HK\$542.5mn/ \$69.2mn	EPS (Rmb)	0.78	2.47	4.56	6.00
China	P/E (X)	62.9	12.5	6.8	5.2
China Mobility Tech	P/B (X)	4.8	2.5	1.9	1.4
	Dividend yield (%)	0.0	0.0	0.0	0.0
M&A Rank: 3	N debt/EBITDA (ex lease,X)	(8.5)	(2.9)	(2.1)	(2.1)
Leases incl. in net debt & EV?: Yes	FCF yield (%)	11.6	4.4	9.5	10.9
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	0.01	0.32	0.80	1.33

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 18 Jun 2026 close.

XPeng (XPEV / 9868.HK, Buy): We are Buy rated with 12m DCF-based (WACC 11.8%,

TGR 3.0%) TPs of US\$23/HK\$89 for the ADR/H share. Risks: lower-than-expected sales volume; worse-than-expected price competition; weaker-than-expected market demand.

9868.HK	12m Price Target: HK\$89	Price: HK\$51.5	Upside: 72.8%
XPEV	12m Price Target: \$23	Price: \$13.21	Upside: 74.1%

Buy		GS Forecast				
		12/25	12/26E	12/27E	12/28E	
Market cap: \$12.8bn	Revenue (Rmb mn)	76,719.7	91,923.4	104,725.9	117,058.4	
Enterprise value: \$9.2bn	EBITDA (Rmb mn)	(323.5)	13.6	4,203.6	7,246.8	
3m ADTV: \$111.6mn	EPS (Rmb)	(0.48)	(1.47)	2.18	4.59	
China	P/E (X)	NM	NM	41.0	19.4	
China Mobility Tech	P/B (X)	4.5	3.0	2.9	2.5	
	Dividend yield (%)	0.0	0.0	0.0	0.0	
M&A Rank: 3	N debt/EBITDA (ex lease, X)	--	15.4	(8.6)	(5.3)	
Leases incl. in net debt & EV?: Yes	CROCI (%)	NM	29.9	85.2	95.6	
	FCF yield (%)	3.6	(2.9)	0.9	7.2	
		3/26	6/26E	9/26E	12/26E	
	EPS (Rmb)	(1.76)	(0.62)	(0.33)	1.22	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 18 Jun 2026 close.

Disclosure Appendix

Reg AC

We, Tina Hou and Jenny Du, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Contributing Authors: Tina Hou Goldman Sachs (China) Securities Company Limited, Jenny Du Goldman Sachs (China) Securities Company Limited.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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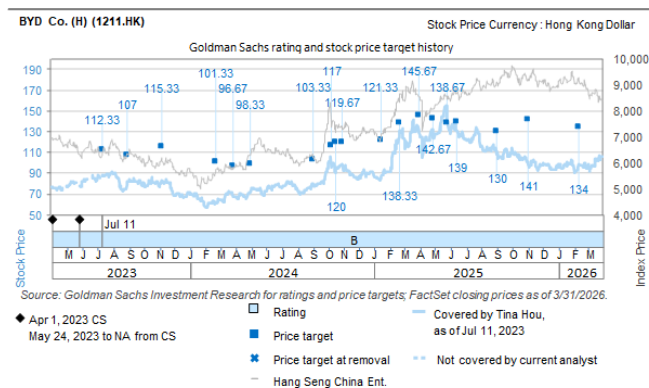
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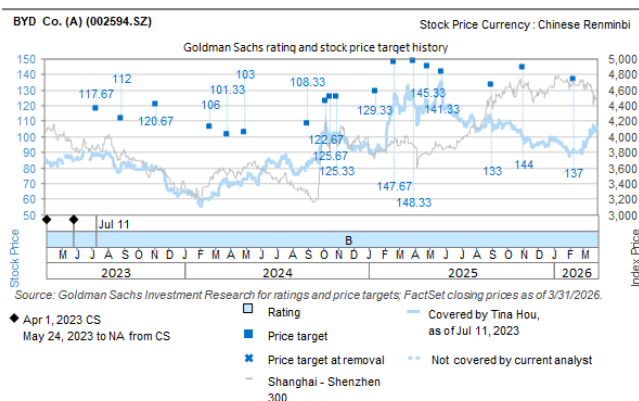
	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	60%	45%

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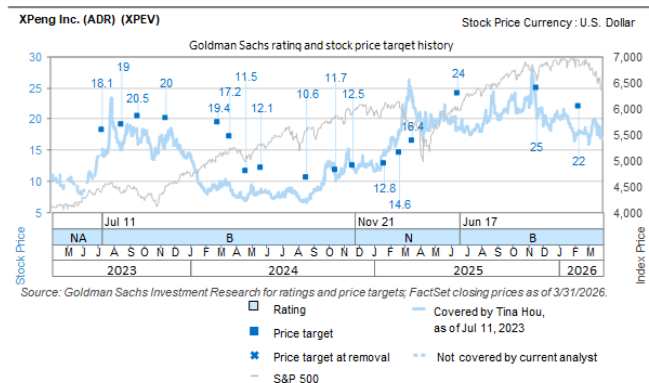
Price target and rating history chart(s)



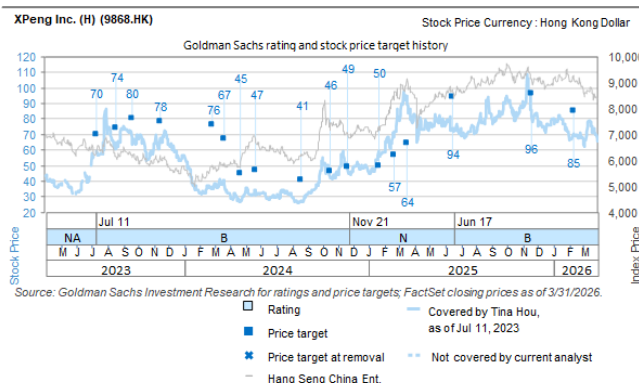
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Target price history table(s)

BYD Co. (A) (002594.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
12-Feb-26	137.00	91.16
03-Nov-25	144.00	99.60
01-Sep-25	133.00	109.70
26-May-25	424.00	127.00
28-Apr-25	436.00	120.00
31-Mar-25	445.00	124.97
21-Feb-25	443.00	127.67
14-Jan-25	388.00	92.10
30-Oct-24	376.00	101.85
16-Oct-24	377.00	96.60
09-Oct-24	368.00	101.90
03-Sep-24	325.00	82.36
30-Apr-24	309.00	72.83
27-Mar-24	304.00	70.66
21-Feb-24	318.00	61.00
07-Nov-23	362.00	80.32
29-Aug-23	336.00	82.24
11-Jul-23	353.00	89.78

BYD Co. (H) (1211.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
12-Feb-26	134.00	98.55
03-Nov-25	141.00	99.10
01-Sep-25	130.00	108.40
16-Jun-25	139.00	129.80
26-May-25	416.00	141.73
28-Apr-25	428.00	127.07
31-Mar-25	437.00	130.93
21-Feb-25	415.00	130.80
14-Jan-25	364.00	85.67
30-Oct-24	359.00	98.33
16-Oct-24	360.00	90.20
09-Oct-24	351.00	95.40
03-Sep-24	310.00	78.53
30-Apr-24	295.00	71.87
27-Mar-24	290.00	67.60
21-Feb-24	304.00	62.10
07-Nov-23	346.00	82.67
29-Aug-23	321.00	79.27

BYD Co. (A) (002594.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
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BYD Co. (H) (1211.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
11-Jul-23	337.00	88.00

XPeng Inc. (H) (9868.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
01-Jun-26	89.00	67.80
12-Feb-26	85.00	70.05
19-Nov-25	96.00	85.70
17-Jun-25	94.00	73.20
19-Mar-25	64.00	89.55
21-Feb-25	57.00	71.90
21-Jan-25	50.00	59.70
21-Nov-24	49.00	47.35
16-Oct-24	46.00	43.05
21-Aug-24	41.00	26.95
23-May-24	47.00	32.80
22-Apr-24	45.00	26.50
20-Mar-24	67.00	40.55
27-Feb-24	76.00	36.80
15-Nov-23	78.00	67.80
20-Sep-23	80.00	68.10
21-Aug-23	74.00	62.00
11-Jul-23	70.00	58.15

Zhejiang Leapmotor Technology (9863.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
16-Jun-26	50.00	36.48

XPeng Inc. (ADR) (XPEV)

Date of report	Target price (\$)	Closing price (\$)
01-Jun-26	23.00	17.20
12-Feb-26	22.00	17.70
19-Nov-25	25.00	21.17
17-Jun-25	24.00	18.57
19-Mar-25	16.40	23.80
21-Feb-25	14.60	18.40
21-Jan-25	12.80	15.00
21-Nov-24	12.50	12.29
16-Oct-24	11.70	11.05
21-Aug-24	10.60	7.06
23-May-24	12.10	8.10
22-Apr-24	11.50	6.98
20-Mar-24	17.20	9.51
27-Feb-24	19.40	9.38
15-Nov-23	20.00	17.39
20-Sep-23	20.50	16.35
21-Aug-23	19.00	16.43
11-Jul-23	18.10	14.97

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